FocalPoint

NOTICE OF ANNUAL MEETING

2026 Annual Meeting of Stockholders

FocalPoint, Inc. (Nasdaq: FOC) — Notice of Meeting, Agenda, Director Nominees, and Voting Guide

MEETING DATE & TIME	FORMAT	RECORD DATE
Thursday, May 14, 2026 — 10:00 AM Eastern Time	Virtual-only — registration required	March 16, 2026

Stockholder Information

The secure way to view FocalPoint's annual meeting materials and vote your shares.

Investor Materials

- **2025 Annual Report** — financial results and business highlights
- **2026 Proxy Statement** — meeting agenda, proposals, and governance disclosures
- **2025 Corporate Responsibility Report** — People, Planet, Craft, and Community

Request Paper Copies

You may request paper copies of these materials online, by email, or by calling 1-866-555-0142. Copies are provided at no charge.

Go Paperless

Consent to receive future annual meeting materials electronically for faster, streamlined access.

Meeting Logistics

ITEM	DETAIL
Date & Time	May 14, 2026, 10:00 AM ET
Format	Virtual only
Registration	Required — see below
Record Date	March 16, 2026
Voting Deadline	May 12, 2026, 11:59 PM ET

Virtual Meeting Registration

You must register in advance to attend and participate in the virtual meeting. Registration confirmations are sent by email with a unique meeting link.

Meeting Agenda & Items to Be Voted On

A full description of each proposal, including the Board's complete rationale, appears in the 2026 Proxy Statement. This page provides a condensed summary for quick reference.

1 Election of Directors

Vote on the election of eight director nominees, each to serve a one-year term expiring at the 2027 Annual Meeting.

Board recommendation: **FOR each nominee**

2 Ratification of Independent Registered Public Accounting Firm

Ratify the Audit Committee's appointment of Harrow & Vance LLP as FocalPoint's independent registered public accounting firm for fiscal year 2026.

Board recommendation: **FOR**

3 Advisory Vote to Approve Named Executive Officer Compensation

A non-binding advisory vote on the compensation of FocalPoint's named executive officers.

Board recommendation: **FOR**

4 Stockholder Proposal — Political Advertising & Lobbying Disclosure

Requests a report on political advertising, lobbying, and trade association expenditures used for political purposes.

Board recommendation: **AGAINST**

5 Stockholder Proposal — Responsible Use of AI in Content & Creative Production

Requests a report on policies governing AI-assisted content and creative production.

Board recommendation: **AGAINST**

6 Stockholder Proposal — Diversity in Leadership & Creative Teams

Requests a report on workforce diversity across leadership, account, and creative teams.

Board recommendation: **AGAINST**

2026 Director Nominees at a Glance

Full biographies, committee assignments, and the Board's skills matrix appear in the 2026 Proxy Statement.

Dana Whitfield
NON-EXECUTIVE CHAIR
Former CEO, national specialty retail chain

Alexandra Reyes
PRESIDENT & CEO
FocalPoint CEO since 2022

Marcus Ilori
LEAD INDEPENDENT DIRECTOR
Retired audit partner; Audit Committee Chair

Renée Castellano
DIRECTOR
CMO, consumer packaged goods company; Compensation Committee Chair

Priya Anand
DIRECTOR
Former CTO, national digital media platform

Thomas Okafor
DIRECTOR
Client operations & delivery executive

Helena Voss
DIRECTOR
Human capital & culture executive

James Calloway
DIRECTOR
Corporate development & strategic partnerships executive

Fiscal 2025 Performance Highlights

$1.14B	**1,200+**	**28**	**38%**
TOTAL REVENUE	ACTIVE CLIENT RELATIONSHIPS	OFFICES NATIONWIDE	DIGITAL & CREATIVE REVENUE MIX

Figures above are illustrative and prepared for demonstration purposes; they do not represent actual reported financial results. Full detail appears in the Fiscal 2025 Annual Report Highlights.

Corporate Responsibility Snapshot

$3.8M	**44%**	**62%**	**97%**
PRO BONO & COMMUNITY CAMPAIGNS	WOMEN IN DIRECTOR+ ROLES	OFFICES ON RENEWABLE ENERGY	STAFF COMPLETING PRIVACY TRAINING

Our People, Planet, Craft, and Community priorities are described in full in the 2025 Corporate Responsibility Report.

Why Your Vote Matters

Every share counts. Your vote directly shapes the composition of the Board, the independent oversight of our financial statements, and the Company's response to stockholder proposals. High stockholder participation also strengthens FocalPoint's standing with proxy advisory firms, index funds, and institutional investors who weigh voting turnout in their own governance assessments.

Four Ways to Vote

METHOD	INSTRUCTIONS
Online	Visit focalpoint.com/vote and follow the instructions using the control number on your proxy card or Notice.
Phone	Call 1-855-555-0198 toll-free and follow the recorded instructions.
Mail	Complete, sign, date, and return your proxy card in the enclosed postage-paid envelope.
Virtual Meeting	Register in advance at focalpoint.com/annualmeeting and vote live during the webcast.

Voting deadline for online, phone, and mail: May 12, 2026, 11:59 PM Eastern Time. You may vote live at the virtual meeting even if you previously submitted a proxy.

Frequently Asked Questions

Q: What am I voting on?

A: The election of eight director nominees, ratification of our independent registered public accounting firm, an advisory vote on executive compensation, and three stockholder proposals. See the Meeting Agenda on page 3.

Q: Who is entitled to vote?

A: Stockholders of record as of the close of business on the record date, March 16, 2026, are entitled to vote at the Annual Meeting.

Q: Can I change my vote after submitting a proxy?

A: Yes. You may revoke your proxy at any time before it is voted by submitting a later-dated proxy, notifying our Corporate Secretary in writing, or voting live at the virtual meeting.

Q: What if I don't specify how my shares should be voted?

A: If you sign and return a proxy card without marking your voting instructions, your shares will be voted in accordance with the Board's recommendations on each proposal.

Q: What is a broker non-vote?

A: A broker non-vote occurs when a bank or broker holding shares on your behalf does not receive voting instructions from you and lacks discretionary authority to vote on a particular matter, such as the election of directors.

Q: Where can I find the full Proxy Statement?

A: The complete 2026 Proxy Statement, including full director biographies, executive compensation detail, and the Board's complete rationale on each proposal, is available at focalpoint.com/investors.

Accessibility & Language Assistance

Alternative Formats

Stockholders who need this Notice or the accompanying Proxy Statement in an alternative format, including large print or screen-reader-compatible electronic formats, may request one at no charge by calling 1-866-555-0142 or emailing accessibility@focalpoint.com.

Language Assistance

Telephone voting and stockholder support are available with interpretation assistance in multiple languages. Please call 1-855-555-0198 and request language assistance when prompted.

Virtual Meeting Accessibility

The virtual meeting platform supports screen readers and closed captioning. Stockholders needing additional accommodations to participate should contact our Corporate Secretary in advance of the meeting at corporatesecretary@focalpoint.com.

About FocalPoint

FocalPoint, Inc. (Nasdaq: FOC) is a national strategic communications and media relations firm serving corporate, public sector, and nonprofit clients through four service lines: Media Relations & Public Relations, Public Affairs & Government Relations, Digital & Creative Services, and Crisis & Issues Management. Founded as a single regional communications practice, FocalPoint has grown into one of the largest independent strategic communications firms in the country, with more than 6,800 employees across 28 offices nationwide and more than 1,200 active client relationships. The company supports the FocalPoint Foundation, which provides pro bono communications support and media literacy programs in the communities FocalPoint serves.

PROXY STATEMENT

2026 Proxy Statement

FocalPoint, Inc. (Nasdaq: FOC) — Notice of Annual Meeting, Director Nominees, Executive Compensation, and Items to Be Voted On

FILED BY
FocalPoint, Inc.

MEETING DATE
May 14, 2026

PREPARED FOR
BetaNXT, Inc.

Notice of 2026 Annual Meeting of Stockholders

Date: Thursday, May 14, 2026 • **Time:** 10:00 AM Eastern Time • **Format:** Live via webcast at focalpoint.com/annualmeeting • **Record Date:** March 16, 2026

The 2026 Annual Meeting of Stockholders of FocalPoint, Inc. will be held virtually for the following purposes:

1. To elect eight directors named in the accompanying Proxy Statement, each to serve a one-year term expiring at the 2027 Annual Meeting;
2. To ratify the appointment of Harrow & Vance LLP as our independent registered public accounting firm for fiscal year 2026;
3. To approve, on an advisory basis, the compensation of our named executive officers;
4. To vote on a stockholder proposal regarding political advertising and lobbying disclosure, if properly presented;
5. To vote on a stockholder proposal regarding responsible use of AI in content and creative production, if properly presented;
6. To vote on a stockholder proposal regarding diversity in leadership and creative teams, if properly presented; and
7. To transact such other business as may properly come before the meeting or any adjournment thereof.

Only stockholders of record as of the close of business on the record date are entitled to notice of, and to vote at, the Annual Meeting. Your vote is important. Whether or not you plan to attend the virtual meeting, we urge you to vote as promptly as possible.

By Order of the Board of Directors,
Brian Talbot
Executive Vice President, General Counsel & Corporate Secretary

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Proxy Statement Summary

This summary highlights information contained elsewhere in this Proxy Statement. This summary does not contain all the information you should consider, and you should read the entire Proxy Statement carefully before voting.

May 14	10:00 AM	7	8
MEETING DATE, 2026	EASTERN TIME	VOTING MATTERS	DIRECTOR NOMINEES

PROPOSAL	BOARD RECOMMENDATION
1. Election of eight director nominees	FOR each nominee
	FOR

2. Ratification of Harrow & Vance LLP as independent registered public accounting firm	
3. Advisory vote to approve named executive officer compensation	FOR
4. Stockholder proposal — political advertising & lobbying disclosure	AGAINST
5. Stockholder proposal — responsible use of AI in content & creative production	AGAINST
6. Stockholder proposal — diversity in leadership & creative teams report	AGAINST

Fiscal 2025 Performance Highlights

$1.14B	1,200+	$215M	38%
TOTAL REVENUE	ACTIVE CLIENT RELATIONSHIPS	ADJUSTED EBITDA	DIGITAL & CREATIVE REVENUE MIX

Figures above are illustrative and prepared for demonstration purposes; they do not represent actual reported financial results.

Additional Details Regarding the Annual Meeting

Record Date and Voting Rights

Holders of record of FocalPoint common stock as of the close of business on March 16, 2026, the record date, are entitled to notice of, and to vote at, the Annual Meeting. As of the record date, there were approximately 78,900,000 shares of common stock outstanding and entitled to vote, with each share entitled to one vote on each matter properly presented.

Quorum

The presence, virtually or by proxy, of holders of a majority of the shares outstanding and entitled to vote as of the record date will constitute a quorum for the transaction of business at the Annual Meeting.

Cost of Solicitation

FocalPoint will bear the cost of soliciting proxies. In addition to solicitation by mail, our directors, officers, and employees may solicit proxies personally, by telephone, or electronically, without additional compensation. We have retained a proxy solicitation firm to assist in the distribution of proxy materials and solicitation of votes for a fee that is not expected to exceed $35,000, plus reimbursement of reasonable expenses.

Householding

Stockholders who share an address and who have consented to householding will receive a single copy of the Annual Report and Proxy Statement unless we receive contrary instructions. We will promptly deliver a separate copy of these materials to any stockholder at a shared address upon written or oral request to our Corporate Secretary.

List of Stockholders

A list of stockholders of record entitled to vote at the Annual Meeting will be available for examination by any stockholder for any purpose relevant to the meeting during ordinary business hours for the ten days prior to the Annual Meeting at our corporate headquarters, and will also be available during the virtual meeting.

Questions and Answers About the Annual Meeting

Q: Why did I receive these proxy materials?

A: You are receiving this Proxy Statement and the accompanying proxy card because you owned shares of FocalPoint common stock as of the record date and are entitled to vote at the Annual Meeting.

Q: What am I voting on?

A: You are being asked to vote on the election of eight director nominees, the ratification of our independent registered public accounting firm, an advisory vote on executive compensation, and three stockholder proposals described beginning on page 32.

Q: How do I vote?

A: You may vote online at focalpoint.com/vote, by telephone at 1-855-555-0198, by returning the enclosed proxy card by mail, or by attending the virtual Annual Meeting and voting live.

Q: Can I change my vote after I submit a proxy?

A: Yes. You may revoke your proxy at any time before it is voted by submitting a later-dated proxy, by notifying our Corporate Secretary in writing, or by voting virtually at the Annual Meeting.

Q: What happens if I do not provide voting instructions?

A: If you sign and return a proxy card without marking your voting instructions, your shares will be voted in accordance with the Board's recommendations on each proposal.

Q: What is a broker non-vote?

A: A broker non-vote occurs when a bank, broker, or other nominee holding shares on your behalf does not receive voting instructions from you and lacks discretionary authority to vote your shares on a particular matter, such as the election of directors.

Q: What vote is required to approve each proposal?

A: Directors are elected by a majority of votes cast at meetings with a quorum. Proposals 2 through 6 each require the affirmative vote of a majority of the votes cast.

Q: Who counts the votes?

A: A representative of an independent inspector of elections will tabulate the votes and act as inspector of elections at the Annual Meeting.

Q: Where can I find the voting results?

A: We will announce preliminary voting results at the Annual Meeting and will report final results in a Current Report on Form 8-K filed with the SEC within four business days after the meeting.

Proposal 1: Election of Directors

Upon the recommendation of the Nominating & Corporate Governance Committee, the Board has nominated the eight individuals below for election as directors, each to serve until the 2027 Annual Meeting and until a successor is duly elected and qualified. Each nominee has consented to serve if elected. **The Board recommends a vote FOR each nominee.**

Dana Whitfield · **Age 61**

NON-EXECUTIVE CHAIR OF THE BOARD

Former Chief Executive Officer of a national specialty retail chain (2011-2021). Ms. Whitfield brings three decades of multi-unit operations, brand strategy, and public-company board experience. She currently serves on the board of a national logistics company. Director since 2018.

Alexandra Reyes · **Age 47**

PRESIDENT & CHIEF EXECUTIVE OFFICER

President and Chief Executive Officer of FocalPoint since 2022, having joined the Company in 2019 as Chief Growth Officer. Previously led digital and integrated communications strategy for a national media and marketing services holding company. Ms. Reyes holds a B.S. in Business Administration and an M.B.A. Director since 2022.

Marcus Ilori · **Age 58**

LEAD INDEPENDENT DIRECTOR

Retired audit partner with over 25 years of experience in financial reporting, internal controls, and enterprise risk oversight. Mr. Ilori serves as Lead Independent Director and chairs the Audit Committee. He also serves on the audit committee of a publicly traded healthcare company. Director since 2017.

Renée Castellano · **Age 52**

DIRECTOR — MARKETING & CONSUMER INSIGHTS

Chief Marketing Officer of a national consumer packaged goods company. Ms. Castellano specializes in brand loyalty programs and customer data strategy and chairs the Compensation Committee. Director since 2019.

Priya Anand · **Age 45**

DIRECTOR — TECHNOLOGY & DIGITAL TRANSFORMATION

Former Chief Technology Officer of a national digital media platform. Ms. Anand advises the Board on digital campaign platforms, data security, and artificial intelligence initiatives, and serves on the Audit Committee. Director since 2021.

Thomas Okafor · **Age 56**

DIRECTOR — CLIENT OPERATIONS & DELIVERY

Twenty years leading client operations and account delivery functions for large, multi-office professional services and marketing organizations. Mr. Okafor serves on the Compensation Committee. Director since 2016.

Helena Voss · **Age 49**

DIRECTOR — HUMAN CAPITAL & CULTURE

Human resources executive focused on workforce development, retention, and total rewards strategy for creative and professional services talent at a Fortune 500 services company. Ms. Voss serves on the Audit Committee. Director since 2020.

James Calloway · **Age 54**

DIRECTOR — CORPORATE DEVELOPMENT & STRATEGIC PARTNERSHIPS

Executive with a background in M&A, agency partnerships, and growth strategy for communications and marketing services holding companies. Mr. Calloway serves on the Compensation and Audit Committees. Director since 2018.

Director Skills Matrix

The Nominating & Corporate Governance Committee considers the following core competencies when evaluating the composition of the Board as a whole.

NOMINEE	PUBLIC CO. LEADERSHIP	FINANCE & ACCOUNTING	MEDIA & COMMUNICATIONS	TECHNOLOGY & DIGITAL	HUMAN CAPITAL	RISK OVERSIGHT
Dana Whitfield	●	●	●		●	●
Alexandra Reyes	●	●	●	●		●
Marcus Ilori	●	●				●
Renée Castellano			●	●		
Priya Anand				●		●
Thomas Okafor			●			●
Helena Voss					●	
James Calloway		●	●			

Corporate Governance

Board Leadership Structure

The Board separates the roles of Chair and Chief Executive Officer. Dana Whitfield serves as Non-Executive Chair, and Marcus Ilori serves as Lead Independent Director. The Board believes this structure provides strong independent oversight of management while allowing Ms. Reyes to focus on executing FocalPoint's strategy.

Director Independence

The Board has determined that each director nominee, other than Ms. Reyes, is independent under Nasdaq listing standards. The Board conducts an annual review of director independence based on responses to annual questionnaires and other relevant information.

Board Committees

COMMITTEE	CHAIR	MEMBERS	FY2025 MEETINGS
Audit	Marcus Ilori	Priya Anand, Helena Voss, James Calloway	8
Compensation	Renée Castellano	Thomas Okafor, James Calloway	5
Nominating & Corporate Governance	Dana Whitfield	Marcus Ilori, Renée Castellano	4

The Board held seven meetings during fiscal 2025. Each director attended at least 90% of the aggregate meetings of the Board and the committees on which they served.

Board's Role in Risk Oversight

The Board oversees FocalPoint's enterprise risk management program directly and through its committees. The Audit Committee reviews financial, cybersecurity, and compliance risk; the Compensation Committee reviews compensation-related risk; and the full Board reviews strategic and operational risk, including client concentration and data security matters, at least quarterly.

Code of Business Conduct and Stockholder Engagement

All directors, officers, and employees are subject to our Code of Business Conduct and Ethics. FocalPoint maintains a year-round stockholder engagement program, and members of management and, as appropriate, the Board meet with stockholders to discuss strategy, governance, and compensation matters.

Compensation Governance

Compensation Risk Assessment

The Compensation Committee, with the assistance of its independent compensation consultant, annually reviews FocalPoint's compensation policies and practices for all employees, including executive officers, to assess whether they create risks that are reasonably likely to have a material adverse effect on the Company. Based on this review, the Committee has concluded that our compensation programs do not encourage excessive risk-taking.

Authority to Delegate

The Compensation Committee may delegate authority to a subcommittee or to management for administrative matters, but retains sole authority over compensation decisions for the Chief Executive Officer and other executive officers.

Role of the Compensation Consultant

The Compensation Committee has engaged an independent compensation consulting firm to provide market data, peer group analysis, and advice on executive and director compensation. The consultant reports directly to the Committee and performs no other services for the Company.

Role of Management

Our Chief Executive Officer provides the Compensation Committee with performance assessments and compensation recommendations for other executive officers, but does not participate in discussions regarding her own compensation.

Compensation Committee Interlocks and Insider Participation

No member of the Compensation Committee is or has been an officer or employee of FocalPoint, and no executive officer of FocalPoint serves on the compensation committee or board of any company that employs a member of our Compensation Committee.

Compensation Committee Report

The Compensation Committee has reviewed and discussed the Compensation Discussion and Analysis with management and, based on that review and discussion, recommended to the Board that it be included in this Proxy Statement.

Compensation Discussion and Analysis

Executive Summary

This Compensation Discussion and Analysis describes FocalPoint's executive compensation philosophy and programs and the compensation decisions made for our named executive officers ("NEOs") for fiscal 2025: Alexandra Reyes, Sarah Kim, David Ferreira, Nicole Andrade, and Brian Talbot.

Compensation Philosophy and Objectives

Our executive compensation program is designed to attract and retain experienced leaders, align pay with performance, and encourage decisions that create long-term stockholder value without encouraging excessive risk-taking. The program emphasizes variable, performance-based pay over fixed pay.

Elements of Compensation

ELEMENT	PURPOSE	KEY FEATURES
Base Salary	Fixed compensation for role and experience	Reviewed annually; not automatically increased
Annual Incentive	Rewards achievement of annual financial and operational goals	Tied to revenue, Adjusted EBITDA, and digital sales mix targets
Long-Term Incentive	Aligns pay with multi-year stockholder value creation	Mix of performance share units, restricted stock units, and stock options
Benefits & Perquisites	Market-competitive health, retirement, and limited perquisites	Consistent with broad-based employee programs

Peer Group and Benchmarking

The Compensation Committee references a peer group of national marketing, advertising, and communications services companies of similar size and complexity when evaluating the competitiveness of executive pay, targeting total direct compensation near the peer group median with upside tied to performance.

Say-on-Pay Considerations

At our 2025 Annual Meeting, approximately 94% of votes cast approved our named executive officer compensation on an advisory basis. The Compensation Committee considered this strong support and did not make significant changes to the structure of our executive compensation program for fiscal 2025.

Fiscal 2025 Compensation Decisions

In fiscal 2025, annual incentive payouts for our NEOs ranged from 92% to 98% of target, reflecting performance modestly above target on Adjusted EBITDA and net client retention and slightly below target on new business growth. Long-term incentive grants were awarded consistent with each NEO's role and market benchmarking.

2025 Summary Compensation Table

Amounts reflect grant-date fair value of equity awards computed in accordance with FASB ASC Topic 718. Figures are illustrative and prepared for demonstration purposes.

NAME & TITLE	YEAR	SALARY	BONUS	STOCK AWARDS	OPTION AWARDS	NON-EQUITY INCENTIVE	ALL OTHER COMP.	TOTAL
Alexandra Reyes President & Chief Executive Officer	2025	$1,150,000	—	$6,200,000	$1,550,000	$875,000	$42,000	**$9,817,000**
	2024	$1,100,000	—	$5,800,000	$1,450,000	$810,000	$39,500	**$9,199,500**
	2023	$1,050,000	—	$5,100,000	$1,275,000	$705,000	$36,000	**$8,166,000**
Sarah Kim Executive Vice President & Chief Financial Officer	2025	$680,000	—	$2,450,000	$610,000	$410,000	$24,000	**$4,174,000**
	2024	$650,000	—	$2,250,000	$560,000	$375,000	$22,500	**$3,857,500**
	2023	$610,000	—	$1,950,000	$485,000	$320,000	$20,000	**$3,385,000**
David Ferreira Executive Vice President & Chief Operating Officer	2025	$710,000	—	$2,650,000	$660,000	$430,000	$26,500	**$4,476,500**
	2024	$685,000	—	$2,400,000	$600,000	$395,000	$25,000	**$4,105,000**
	2023	$655,000	—	$2,100,000	$525,000	$345,000	$23,000	**$3,648,000**
Nicole Andrade EVP, Chief Marketing & Digital Officer	2025	$600,000	—	$2,050,000	$510,000	$350,000	$19,000	**$3,529,000**
	2024	$575,000	—	$1,850,000	$460,000	$315,000	$17,500	**$3,217,500**
	2023	$545,000	—	$1,600,000	$400,000	$270,000	$16,000	**$2,831,000**
Brian Talbot EVP, General Counsel & Corporate Secretary	2025	$560,000	—	$1,750,000	$435,000	$300,000	$18,000	**$3,063,000**
	2024	$540,000	—	$1,600,000	$400,000	$270,000	$16,500	**$2,826,500**
	2023	$520,000	—	$1,400,000	$350,000	$235,000	$15,000	**$2,520,000**

2025 Grants of Plan-Based Awards

NAME	GRANT DATE	OPTIONS GRANTED	EXERCISE PRICE	GRANT DATE FAIR VALUE (OPTIONS)	GRANT DATE FAIR VALUE (STOCK AWARDS)
Alexandra Reyes	03/03/2025	55,000	$41.20	$1,550,000	$6,200,000
Sarah Kim	03/03/2025	22,000	$41.20	$610,000	$2,450,000
David Ferreira	03/03/2025	23,500	$41.20	$660,000	$2,650,000
Nicole Andrade	03/03/2025	18,200	$41.20	$510,000	$2,050,000
Brian Talbot	03/03/2025	15,500	$41.20	$435,000	$1,750,000

All equity awards were granted under the FocalPoint, Inc. 2021 Omnibus Incentive Plan.

Outstanding Equity Awards at 2025 Fiscal Year-End

NAME	OPTIONS EXERCISABLE	OPTIONS UNEXERCISABLE	EXERCISE PRICE	EXPIRATION	UNVESTED SHARES	MARKET VALUE
Alexandra Reyes	185,000	55,000	$29.40	03/03/2035	142,000	$6,104,000
Sarah Kim	74,000	22,000	$29.40	03/03/2035	56,000	$2,408,000
David Ferreira	79,000	23,500	$29.40	03/03/2035	61,000	$2,623,000
Nicole Andrade	61,000	18,200	$29.40	03/03/2035	47,000	$2,021,000
Brian Talbot	52,000	15,500	$29.40	03/03/2035	40,000	$1,720,000

Option Exercises and Stock Vested During 2025

NAME	OPTIONS EXERCISED (#)	VALUE REALIZED	STOCK VESTED (#)	VALUE REALIZED
Alexandra Reyes	28,000	$612,000	61,000	$2,532,000
Sarah Kim	9,000	$187,000	24,000	$998,000
David Ferreira	11,000	$229,000	26,000	$1,082,000
Nicole Andrade	6,000	$118,000	20,000	$832,000
Brian Talbot	5,000	$96,000	17,000	$706,000

CEO Pay Ratio

For fiscal 2025, the median annual total compensation of all FocalPoint employees (other than our CEO) was **$92,500**, and the annual total compensation of our CEO, Alexandra Reyes, was **$9,817,000**, resulting in a ratio of approximately **106:1**. This ratio is a reasonable estimate calculated in accordance with SEC rules, using a consistently applied compensation measure across our workforce, which is composed primarily of salaried communications, creative, and account management professionals across our offices nationwide.

Pay Versus Performance

The following table reports compensation for our principal executive officer ("PEO") and average compensation for our other NEOs, alongside FocalPoint's cumulative total shareholder return (assuming $100 invested at the start of fiscal 2023), a peer group index, net income, and Adjusted EBITDA, our company-selected performance measure, as required by Item 402(v) of Regulation S-K.

YEAR	PEO SCT TOTAL	PEO COMP. ACTUALLY PAID	AVG. NON-PEO NEO SCT TOTAL	AVG. NON-PEO NEO COMP. ACTUALLY PAID	TSR ($100 INVESTED)	PEER GROUP TSR	NET INCOME	ADJUSTED EBITDA
2025	$9,817,000	$11,450,000	$3,810,625	$4,325,000	$142.10	$118.40	$186,000,000	$520,000,000
2024	$9,199,500	$8,760,000	$3,501,625	$3,390,000	$121.30	$109.80	$171,000,000	$486,000,000
2023	$8,166,000	$7,920,000	$3,096,000	$2,985,000	$104.60	$101.20	$158,000,000	$452,000,000

All figures are illustrative and prepared for demonstration purposes.

Potential Payments Upon Termination or Change in Control

FocalPoint has entered into employment arrangements with each NEO that provide for severance and, in certain cases, accelerated vesting of equity awards upon a qualifying termination of employment, including a "double-trigger" change-in-control provision requiring both a change in control and a qualifying termination.

NAMED EXECUTIVE OFFICER	CASH SEVERANCE MULTIPLE	EQUITY TREATMENT
Alexandra Reyes (CEO)	2.0x base salary + target bonus	Full acceleration on qualifying change-in-control termination
Other NEOs	1.5x base salary + target bonus	Pro-rata acceleration based on service period

Non-Employee Director Compensation

Non-employee directors receive an annual cash retainer and an annual equity award of restricted stock units, with additional retainers for committee chairs and the Lead Independent Director. Alexandra Reyes, as CEO, receives no additional compensation for her Board service.

NAME	FEES EARNED OR PAID IN CASH	STOCK AWARDS	TOTAL
Dana Whitfield	$145,000	$165,000	**$310,000**
Marcus Ilori	$110,000	$140,000	**$250,000**
Renée Castellano	$100,000	$140,000	**$240,000**
Priya Anand	$90,000	$130,000	**$220,000**
Thomas Okafor	$90,000	$130,000	**$220,000**
Helena Voss	$90,000	$130,000	**$220,000**
James Calloway	$90,000	$130,000	**$220,000**

Audit Committee Report

The Audit Committee has reviewed and discussed FocalPoint's audited financial statements for fiscal 2025 with management and with Harrow & Vance LLP, the Company's independent registered public accounting firm. The Committee has discussed with Harrow & Vance LLP the matters required by applicable auditing standards and has received the written disclosures and letter from Harrow & Vance LLP required by applicable PCAOB requirements regarding the auditor's independence. Based on this review and these discussions, the Audit Committee recommended to the Board that the audited financial statements be included in FocalPoint's Annual Report on Form 10-K for fiscal 2025.

Respectfully submitted by the Audit Committee: Marcus Ilori (Chair), Priya Anand, Helena Voss, and James Calloway.

Proposal 2: Ratification of Independent Registered Public Accounting Firm

The Audit Committee has appointed Harrow & Vance LLP as FocalPoint's independent registered public accounting firm for fiscal year 2026. Although stockholder ratification is not required, the Board is submitting the appointment for ratification as a matter of good governance practice. **The Board recommends a vote FOR this proposal.**

FEE CATEGORY	FISCAL 2025	FISCAL 2024

Audit Fees	$4,150,000	$3,890,000
Audit-Related Fees	$310,000	$265,000
Tax Fees	$480,000	$410,000
All Other Fees	$95,000	$80,000
Total Fees	**$5,035,000**	**$4,645,000**

The Audit Committee has determined that the provision of non-audit services by Harrow & Vance LLP is compatible with maintaining the firm's independence.

Proposal 3: Advisory Vote to Approve Named Executive Officer Compensation

As required by Section 14A of the Securities Exchange Act, we are asking stockholders to approve, on an advisory (non-binding) basis, the compensation of our named executive officers as described in the Compensation Discussion and Analysis and the accompanying compensation tables.

We are asking stockholders to approve the following advisory resolution:

> "RESOLVED, that the stockholders of FocalPoint, Inc. approve, on an advisory basis, the compensation of the Company's named executive officers, as disclosed in the Compensation Discussion and Analysis, the compensation tables, and related narrative disclosure in this Proxy Statement."

While this vote is advisory and not binding on FocalPoint or the Board, the Compensation Committee values the opinions expressed by stockholders and will consider the outcome of this vote when making future compensation decisions. **The Board recommends a vote FOR this proposal.**

Equity Compensation Plan Information

The following table sets forth information about FocalPoint common stock that may be issued under our equity compensation plans as of December 28, 2025.

PLAN CATEGORY	SECURITIES TO BE ISSUED UPON EXERCISE	WEIGHTED-AVERAGE EXERCISE PRICE	SECURITIES REMAINING AVAILABLE
	3,240,000	$34.15	4,610,000

Approved by stockholders			
Not approved by stockholders	—	—	—
Total	**3,240,000**	**$34.15**	**4,610,000**

Security Ownership of Certain Beneficial Owners and Management

Beneficial Owners of More Than 5%

NAME	SHARES BENEFICIALLY OWNED	PERCENT OF CLASS
Meridian Capital Advisors, LLC	11,208,000	14.2%
Crestwood Asset Management	7,730,000	9.8%
Cobalt Ridge Investment Partners	5,602,000	7.1%
FocalPoint Retirement Savings Plan Trust	4,260,000	5.4%

Directors and Executive Officers

NAME	SHARES BENEFICIALLY OWNED	PERCENT OF CLASS
Alexandra Reyes	468,000	0.6%
Dana Whitfield	62,000	<0.1%
Marcus Ilori	41,500	<0.1%
Renée Castellano	28,700	<0.1%
Priya Anand	19,200	<0.1%
Thomas Okafor	33,400	<0.1%
Helena Voss	17,600	<0.1%
James Calloway	24,900	<0.1%
Sarah Kim	52,100	<0.1%
David Ferreira	58,300	<0.1%
Nicole Andrade	31,900	<0.1%
Brian Talbot	27,400	<0.1%
All directors and executive officers as a group (12 persons)	**865,000**	**1.1%**

Beneficial ownership figures include shares issuable upon exercise of options exercisable, and restricted stock units vesting, within 60 days of the record date. Figures are illustrative and prepared for demonstration purposes.

Certain Relationships and Related Person Transactions

Our Audit Committee is responsible for reviewing and approving all related person transactions in accordance with our written related person transaction policy. During fiscal 2025, FocalPoint did not engage in any transaction, or series of related transactions, in which the amount involved exceeded $120,000 and in which any director, executive officer, or holder of more than 5% of our common stock had a direct or indirect material interest, other than compensation arrangements described elsewhere in this Proxy Statement.

Delinquent Section 16(a) Reports

Based solely on our review of reports filed electronically with the SEC and written representations from our directors and executive officers, we believe that all Section 16(a) filing requirements applicable to our directors, executive officers, and 10% stockholders were satisfied on a timely basis during fiscal 2025.

Proposal 4: Stockholder Proposal Regarding Political Advertising and Lobbying Disclosure

RESOLVED: Stockholders request that the Board issue an annual report, at reasonable cost and omitting proprietary information, disclosing FocalPoint's policies and expenditures related to political advertising work performed for clients, direct political contributions, lobbying expenditures, and payments to trade associations used for political purposes. We believe transparent disclosure will help stockholders assess reputational and regulatory risk given the Company's role in shaping public communications.

Statement in Opposition

> The Board recognizes the importance of transparency around political and lobbying activity and notes that FocalPoint already complies with all applicable disclosure laws governing lobbying and political contributions. The Board believes the proponent's request, as framed, would require disclosure of client-specific campaign work that is subject to client confidentiality obligations across our Public Affairs practice, and that the requested report would not be feasible without breaching those obligations or competitively sensitive information. The Board will continue to evaluate additional voluntary disclosure as industry practice evolves.

The Board recommends a vote AGAINST this proposal.

Proposal 5: Stockholder Proposal Regarding Responsible Use of AI in Content and Creative Production

RESOLVED: Stockholders request that the Board issue a report describing FocalPoint's policies governing the use of artificial intelligence in content and creative production, including safeguards against misinformation, disclosure practices for AI-assisted content delivered to clients, and human review requirements.

Statement in Opposition

> The Board agrees that responsible use of artificial intelligence in content production is an important consideration and notes that FocalPoint has adopted internal guidelines requiring human review of AI-assisted content and client disclosure where AI tools are used in deliverables. The Board believes these internal guidelines are still evolving alongside rapidly changing technology and industry practice, and that committing to a detailed public report at this time would lock in specific commitments before best practices in this area have matured. The Board will continue to refine and, as appropriate, publicly share elements of its AI governance approach.

The Board recommends a vote AGAINST this proposal.

Proposal 6: Stockholder Proposal Regarding Diversity in Leadership and Creative Teams

RESOLVED: Stockholders request that the Board issue a report disclosing workforce representation data, including gender and racial/ethnic diversity, across FocalPoint's leadership, account, and creative teams company-wide.

Statement in Opposition

> The Board agrees that diversity across leadership and creative teams is important to FocalPoint's ability to serve a broad range of clients and communities, and the Company already discloses certain workforce diversity metrics in this report, including representation in director-and-above roles. The Board believes that granular, team-by-team disclosure as requested would impose significant administrative burden and could reveal competitively sensitive staffing information about specific client engagements, and that the Company's current level of disclosure appropriately balances transparency with these concerns.

The Board recommends a vote AGAINST this proposal.

Other Matters

The Board knows of no other matters to be presented for action at the Annual Meeting. If any other matters properly come before the meeting, the persons named as proxies will vote on those matters in accordance with their best judgment.

Stockholder Proposals for the 2027 Annual Meeting

Stockholders who wish to submit proposals for inclusion in next year's proxy statement must do so in accordance with SEC Rule 14a-8 and our Bylaws, generally no later than 120 calendar days before the anniversary of this Proxy Statement's mailing date.

Availability of Form 10-K

A copy of FocalPoint's Annual Report on Form 10-K for fiscal 2025, including financial statements, is available without charge upon written request to our Corporate Secretary or at focalpoint.com/investors.

FocalPoint

ANNUAL REPORT

Fiscal 2025 Annual Report

FocalPoint, Inc. (Nasdaq: FOC) — A Comprehensive Review for Shareholders

FISCAL YEAR	TICKER	PREPARED FOR
Ended December 28, 2025	Nasdaq: FOC	BetaNXT, Inc.

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Letter to Shareholders

Fiscal 2025 was a year in which FocalPoint grew faster than the market it serves, while investing in the people, technology, and governance needed to sustain that growth.

Total revenue reached $1,140.3 million, up 6.7% from fiscal 2024, driven by broad-based growth across all four of our service lines and continued strength in our Digital & Creative Services practice, which again grew faster than the Company overall. Operating income grew 12.7% to $148.2 million, reflecting both top-line growth and the operating leverage we have built into our shared services platform over the past three years. Diluted earnings per share increased to $3.94, from $3.45 in fiscal 2024.

We believe three factors drove this performance. First, our client retention rate remained above 92% for the third consecutive year, a reflection of the integrated, cross-disciplinary teams we build around each client relationship. Second, we continued to invest in digital and creative capabilities that let us meet clients across a broader set of channels, from earned media to paid digital to owned content. Third, we maintained the underwriting discipline that has characterized this Company for two decades — we added headcount and infrastructure only where client demand justified it.

Progress across the portfolio

Each of our four service lines contributed to fiscal 2025 growth. Digital & Creative Services grew 11.2% and, for the first time, became our largest service line by revenue — a milestone that reflects a multi-year investment in content, design, and campaign capabilities rather than a single year's wins. Public Affairs & Government Relations grew 9.4% as clients navigated an unusually active regulatory and legislative environment, and we completed a tuck-in acquisition of a regional public affairs practice that extends our coverage in state capitals. Media Relations & Public Relations, our founding discipline, grew 3.9% on the strength of existing relationships, and Crisis & Issues Management again delivered the highest client satisfaction scores of any practice in the firm.

Just as important as what we grew is how we grew. Approximately 74% of fiscal 2025 revenue was generated under retainer-based agreements, and no single client accounted for more than 3% of consolidated revenue. That balance — recurring relationships, broad diversification, and four connected disciplines under one roof — is the foundation of the durability we aim to deliver through market cycles.

Investing in our people and our craft

Our strategy only works if we can attract and develop the best people in our industry. In fiscal 2025 we expanded the FocalPoint Forward development program to twelve additional offices, promoted a record

214 employees into director-and-above roles, and were again named to a national Best Places to Work in Communications list. Women now hold 44% of director-and-above roles, and we remain on track toward our fiscal 2028 goal of 48%.

Fiscal 2025 was also a year of important governance and responsibility milestones. We published our first formal materiality assessment, stood up an internal AI Assist Review Board to govern the responsible use of generative AI in client work, and refreshed our Freelancer Code of Conduct with a 30-day payment guarantee for freelance creative talent. Each of these initiatives is described in more detail later in this report and in our companion 2025 Corporate Responsibility Report.

Disciplined capital allocation

We generated $156.3 million in operating cash flow in fiscal 2025 and returned $58.4 million to shareholders through share repurchases, while continuing to reduce long-term debt. Our balance sheet ended the year with $214.8 million in cash and cash equivalents, giving us the flexibility to invest organically, pursue selective tuck-in acquisitions, and continue returning capital to shareholders as opportunities warrant.

Looking to fiscal 2026, we see continued opportunity to deepen existing client relationships, expand our public affairs practice as regulatory complexity increases across the industries we serve, and responsibly scale the use of AI-assisted tools across our production workflows. We are grateful to our employees for their work this year, to our clients for their continued trust, and to you, our shareholders, for your continued confidence in FocalPoint.

Alexandra Reyes

President & Chief Executive Officer

Dana Whitfield

Non-Executive Chair of the Board

This letter contains forward-looking statements that are subject to risks and uncertainties. Actual results may differ materially. This report is a sample document produced for demonstration purposes on the BetaNXT Issuer Portal and does not represent an actual FocalPoint financial filing.

Letter from the Chair of the Board

On behalf of your board of directors, thank you for your investment in FocalPoint and for the trust you place in this Company.

Fiscal 2025 was a year in which the board's work centered on three themes: overseeing disciplined growth, strengthening governance of new technology, and planning for the long term. I want to share how the board approached each.

Overseeing disciplined growth

Management delivered 6.7% revenue growth and 70 basis points of margin expansion while completing a tuck-in acquisition and consolidating two offices. The board's role in a year like this is to test the quality of growth: whether new revenue carries appropriate economics, whether the acquisition pipeline remains disciplined, and whether investment in the shared services platform continues to earn its keep. We reviewed each of these matters across our regular meeting cycle, and the Audit Committee separately reviewed the integration and purchase accounting for the Capitol Reach acquisition.

Governing new technology

In fiscal 2025 the board established the Technology & Responsible AI Committee, chaired by Priya Anand, to provide dedicated oversight of cybersecurity, data governance, and the responsible use of AI in client work. The committee met four times, reviewed the charter and approved-tool catalog of management's AI Assist Review Board, and received quarterly reporting on human-review compliance — a metric this report discloses at 98% for the year, with remediation controls added in the fourth quarter to close the gap to the Company's 100% policy. We believe communications firms that industrialize AI without governance will eventually pay for it in client trust; your board intends for FocalPoint to earn the opposite reputation.

Planning for the long term

The board devoted two sessions to leadership succession and talent depth, including reviews of succession plans for each executive officer and development plans for the next generation of practice leaders. The Compensation Committee refreshed the executive program's performance measures to keep pay aligned with the drivers of long-term value — adjusted EPS, relative total shareholder return, and client retention. And the Nominating & Corporate Governance Committee led our annual board self-evaluation, the results of which shaped this year's agenda-setting and committee assignments.

Engagement and accountability

During fiscal 2025, directors and management engaged with holders representing approximately 62% of shares outstanding. That feedback directly informed expanded AI-governance disclosure in this report and the addition of workforce-representation metrics to the Corporate Responsibility section. We welcome the dialogue, and I encourage any shareholder to communicate with the board through the process described in our 2026 Proxy Statement.

All eight of your directors stand for election at the 2026 Annual Meeting on May 14, 2026. We hope you will participate, and we thank you again for your confidence.

Dana Whitfield

Non-Executive Chair of the Board

This letter is illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

A Conversation with Our CEO

Alexandra Reyes, President & Chief Executive Officer, discusses fiscal 2025 results and the year ahead. This conversation is illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

Digital & Creative Services became your largest practice this year. Is FocalPoint still a communications firm?

More than ever. What changed is what communications means. Our clients don't experience "PR" and "digital" as separate things — a product launch is a press strategy, a content program, and a paid campaign at once. Digital & Creative growing to 38% of revenue isn't a pivot away from communications; it's evidence that our account teams are meeting the whole brief. The most telling number in this report, to me, is that 68% of our top fifty clients now buy three or more service lines.

Crisis revenue declined this year. Should shareholders be concerned?

No — and I'd be more concerned if it hadn't. Fiscal 2024 included several large litigation-support engagements that don't recur on a schedule. The part of the crisis business we can build deliberately — preparedness retainers, tabletops, playbooks — grew 6.1%, and that recurring base is what turns episodic response work into durable relationships. When an incident happens to a preparedness client, we're already in the room.

You've been vocal about AI governance. What does that mean in practice?

It means we tell clients exactly which tools we use, what they're used for, and who reviewed the output. Our AI Assist Review Board approves tools, our workflows require documented human review, and this year we disclosed our compliance number — 98% — including the fact that it wasn't yet 100%, and what we did about it. Procurement teams increasingly ask for AI policies in agency reviews. We'd rather be audited on a real program than complimented on a vague one.

Where does growth come from in fiscal 2026?

Three places, in order of confidence. First, deepening existing relationships — every additional service line a client adopts roughly doubles retention economics. Second, public affairs, where regulatory intensity keeps rising and our new state-capital coverage from the Capitol Reach acquisition gives us room to run. Third, responsibly scaled AI adoption, which shows up less as a revenue line and more as margin — production efficiency that lets us invest in senior counsel.

How do you think about capital allocation?

Unchanged and boring, which is how I like it: organic investment first, tuck-in acquisitions where they extend coverage or capability at sensible prices, and buybacks with what's left. We repurchased $58.4 million of stock this year and the board added $75 million to the authorization in January. We look at dividends annually; for now, repurchases give us more flexibility in a business whose biggest investments walk out the door every evening.

What worries you?

Complacency about trust. Our entire business rests on being believed — by journalists, by policymakers, by our clients' audiences. Every AI shortcut we decline, every conflict we screen, every disclosure standard we enforce is a deposit in that account. The moment a firm like ours starts treating trust as a marketing asset instead of an operating discipline, the franchise erodes. My job is to make sure that never gets a foothold here.

Fiscal 2025 at a Glance

$1,140.3M	**+6.7%**	**$148.2M**	**$3.94**
TOTAL REVENUE	REVENUE GROWTH YOY	OPERATING INCOME	DILUTED EPS
1,200+	**28**	**6,800+**	**92%+**
ACTIVE CLIENT RELATIONSHIPS	OFFICES NATIONWIDE	EMPLOYEES	CLIENT RETENTION RATE

Figures above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal; they do not represent actual reported financial results.

Business

Overview

FocalPoint, Inc. is a national strategic communications and media relations firm serving corporate, public sector, and nonprofit clients through four connected service lines. We generate revenue primarily through retainer-based client relationships, supplemented by project-based engagements, and we organize our practice around integrated account teams rather than siloed disciplines, reflecting how our clients increasingly consume communications services.

The Company was built from a single regional communications practice into one of the largest independent strategic communications firms in the United States. As of fiscal year end, we employed more than 6,800 people across 28 offices in six U.S. regions and supported more than 1,200 active client relationships. Our common stock trades on the Nasdaq Global Select Market under the symbol "FOC." Our fiscal year ends on the last Sunday of December; fiscal 2025 ended December 28, 2025.

Our Strategy

Our strategy rests on five pillars, each of which is discussed in the sections that follow and revisited in Management's Discussion & Analysis:

Integrated account teams

We staff engagements with cross-disciplinary teams that can move between earned media, policy, digital, and crisis work without a handoff, because our clients' communications challenges rarely respect practice boundaries.

Recurring retainer relationships

Approximately 74% of fiscal 2025 revenue was generated under retainer-based agreements. Retainers align our incentives with long-term client outcomes and give the Company a predictable revenue base through market cycles.

National scale, local depth

Our 28-office footprint pairs national coordination with local market relationships — the beat reporters, statehouse staff, and community leaders that determine whether a story lands.

Craft, powered responsibly by technology

We invest in tools, including AI-assisted production tools governed by our AI Assist Review Board, that make our practitioners faster without compromising the judgment clients pay for. In fiscal 2025, 98% of AI-assisted deliverables received documented human review before client delivery, against a policy target of 100% for client-facing work.

Disciplined capital allocation

We add headcount and infrastructure only where client demand justifies it, pursue selective tuck-in acquisitions, and return excess capital to shareholders through share repurchases.

Our Service Lines

We manage the business through four service lines, which also serve as our reportable segments. Revenue by service line is presented below and discussed in Note 16 to the consolidated financial statements.

SERVICE LINE	FY2025 REVENUE	% OF TOTAL
Media Relations & Public Relations	$398.5M	35%
Digital & Creative Services	$433.3M	38%
Public Affairs & Government Relations	$216.7M	19%
Crisis & Issues Management	$91.8M	8%
Total revenue	**$1,140.3M**	**100%**

Media Relations & Public Relations

Our founding discipline provides earned media strategy, press outreach, executive visibility, and reputation management for clients ranging from Fortune 500 companies to growth-stage organizations. Engagements typically include ongoing press office support, media training, thought-leadership programs, speaking and awards strategy, and measurement and analytics. The practice maintains relationships with national, trade, and local journalists across every market in which we operate, and operates a 24-hour media desk that supports client teams in all U.S. time zones. Media Relations & Public Relations generated $398.5 million of revenue in fiscal 2025, or 35% of the consolidated total, and is our most retainer-weighted practice, with approximately 82% of practice revenue generated under retainer agreements.

Digital & Creative Services

Our largest and fastest-growing service line provides content strategy, creative production, and paid and owned digital campaign execution, increasingly delivered as an integrated offering alongside earned media work. Capabilities include brand and campaign creative, video and motion production, web and platform development, social media strategy and community management, influencer programs, search and paid media buying, and marketing analytics. The practice operates three production studios — in New York, Chicago, and Los Angeles — that serve account teams nationally. Digital & Creative Services generated $433.3 million of revenue in fiscal 2025, or 38% of the consolidated total, and grew 11.2% year over year, becoming our largest service line by revenue for the first time.

Public Affairs & Government Relations

This practice provides advocacy campaigns, coalition building, and policy communications for clients navigating regulatory and legislative change at the federal, state, and local levels. Services include legislative and regulatory monitoring, grassroots and grasstops mobilization, ballot-measure campaigns, public-comment and rulemaking support, and reputation programs for regulated industries. Following the third-quarter fiscal 2025 acquisition of a regional public affairs practice, we maintain registered lobbying or advocacy capabilities in 22 state capitals in addition to Washington, D.C. Public Affairs & Government Relations generated $216.7 million of revenue in fiscal 2025, or 19% of the consolidated total, and grew 9.4% year over year.

Crisis & Issues Management

Our highest-intensity practice provides rapid-response counsel, dark-site and scenario planning, and communications support for clients navigating litigation, regulatory action, or reputational events. The practice operates a standing incident-response bench that can field a senior team within hours, maintains pre-negotiated protocols with the Company's other service lines for surge staffing, and conducts preparedness retainers — tabletop exercises, playbook development, and spokesperson training — that both reduce client risk and smooth the practice's inherently episodic project revenue. Crisis & Issues Management generated $91.8 million of revenue in fiscal 2025, or 8% of the consolidated total.

Clients and Markets

We serve more than 1,200 active client relationships across three broad markets. Corporate clients represented approximately 68% of fiscal 2025 revenue and span financial services, healthcare, technology, consumer products, energy, and industrial sectors. Public sector clients — state agencies, municipalities, and public authorities — represented approximately 19%. Nonprofit and institutional clients, including foundations, universities, and trade associations, represented approximately 13%.

Our client base is deliberately diversified. No single client accounted for more than 3% of consolidated revenue in fiscal 2025, our ten largest clients collectively represented approximately 18% of consolidated revenue, and no industry sector represented more than 20%. Average tenure among our fifty largest client relationships exceeds seven years, and our client retention rate has remained above 92% for three consecutive years.

CLIENT MARKET	% OF FY2025 REVENUE	REPRESENTATIVE SECTORS
Corporate	68%	Financial services, healthcare, technology, consumer, energy
Public sector	19%	State agencies, municipalities, public authorities
Nonprofit & institutional	13%	Foundations, universities, trade associations

Contract Structure and Revenue Model

Approximately 74% of fiscal 2025 revenue was generated under retainer-based agreements, which typically run twelve months, renew annually, and provide for a defined scope of ongoing services with quarterly true-ups for out-of-scope work. The remainder was generated through project-based and hourly engagements, including campaign builds, crisis responses, and ballot-measure work. Retainer agreements are generally terminable by either party on 60 to 90 days' notice; our experience is that the integrated, multi-service nature of our relationships makes transitions costly for clients and supports our retention rate. Revenue recognition for each arrangement type is described in Note 2 to the consolidated financial statements.

Competition

The strategic communications industry is highly fragmented. We compete with the communications and public affairs practices of global marketing services holding companies, with independent mid-size and boutique agencies, and increasingly with management consultancies that have built communications capabilities. We also compete, for certain digital work, with advertising agencies and in-house client teams.

We compete primarily on the basis of senior-level counsel, integrated service delivery across disciplines, measurable outcomes, and long-standing relationships with journalists, policymakers, and digital platforms. We believe our integrated account-team model and our national office footprint differentiate us from both larger holding-company networks, which typically organize by discipline, and smaller regional specialists, which cannot match our scale or breadth. Price competition is most intense in project-based digital work; we address it through production efficiency, including responsibly governed AI-assisted tooling, rather than through rate concessions on senior counsel.

Human Capital

Our business is our people. As of fiscal year end, we employed more than 6,800 people across 28 U.S. offices, of whom approximately 61% were client-facing practitioners, with the remainder in shared services, technology, and corporate functions. We also engage a vetted network of freelance creative talent under our Freelancer Code of Conduct, which we refreshed in fiscal 2025 to include a 30-day payment guarantee.

Talent development and mobility

The FocalPoint Forward program — our structured development pathway for practitioners from associate through managing director — operated in 24 offices as of fiscal year end, following a twelve-office expansion during the year. We promoted a record 214 employees into director-and-above roles in fiscal 2025, and approximately 70% of open director-and-above positions were filled internally. Every practitioner carries an individual development plan reviewed twice annually, and our internal mobility marketplace allows employees to take rotational assignments across offices and service lines.

Compensation and benefits

Our compensation philosophy pairs market-benchmarked base salaries with annual incentives tied to client outcomes, practice performance, and firm results. All employees are eligible for our 401(k) plan with Company match, comprehensive health coverage, paid parental leave, and an annual professional development stipend. Director-and-above employees participate in our long-term incentive program, described in Note 11 to the consolidated financial statements.

Representation and culture

Women held 44% of director-and-above roles as of fiscal year end, against a fiscal 2028 goal of 48%. Voluntary turnover among director-and-above employees was 9.8% in fiscal 2025, which we believe compares favorably to industry benchmarks. Our engagement survey achieved an 87% participation rate, with engagement scores in the top quartile of our survey provider's professional services benchmark. Additional workforce disclosure appears in the Corporate Responsibility section of this report and in our companion 2025 Corporate Responsibility Report.

Technology and Responsible AI

Our shared services platform centralizes finance, talent, media monitoring, measurement, and production infrastructure so account teams can focus on client work. During fiscal 2025 we continued to invest in our proprietary measurement stack, which links earned, owned, and paid activity to client business outcomes, and in secure client collaboration environments.

We use AI-assisted tools in research, monitoring, drafting, and production workflows under the governance of our AI Assist Review Board, established in fiscal 2025. The Board maintains an approved-tool catalog, requires documented human review of AI-assisted client deliverables, prohibits the use of client confidential information to train third-party models, and reports quarterly to the Technology & Responsible AI Committee of the board of directors. In fiscal 2025, 98% of AI-assisted deliverables received documented human review before delivery; instances below the 100% policy target were remediated through workflow controls implemented in the fourth quarter.

Regulation

Portions of our business are subject to specific regulatory regimes. Our Public Affairs & Government Relations practice is subject to federal, state, and local lobbying registration and disclosure requirements, including the Lobbying Disclosure Act and state equivalents, and to campaign finance and pay-to-play rules in connection with certain client work. Our digital practice is subject to advertising disclosure requirements, platform policies, and consumer protection rules, including Federal Trade Commission guidance on endorsements and testimonials. Across the Company, we are subject to data privacy and security laws in the states where we and our clients operate. Compliance is overseen by our General Counsel, supported by a dedicated compliance function; the costs of compliance have not been material to date, but the regulatory environment is evolving, as discussed in Risk Factors.

Intellectual Property and Brand

Our principal intellectual property consists of the FocalPoint brand and related marks, our proprietary measurement methodologies and planning frameworks, and an internal library of playbooks and training materials. We protect these assets through trademark registrations, confidentiality agreements, and access controls. Client work product is generally owned by clients upon payment, with the Company retaining rights to underlying methodologies.

Available Information

We make our annual reports, quarterly reports, current reports, and proxy materials available free of charge at focalpoint.com/investors as soon as reasonably practicable after filing. Information on our website is not incorporated by reference into this report.

Our History & Values

Company Milestones

PERIOD	MILESTONE
Founding era	Established as a single regional communications practice serving corporate and civic clients.
Regional expansion	Opened offices across the Northeast and Mid-Atlantic; added public affairs capability in Washington, D.C.
National build-out	Expanded to the Southeast, Midwest, Southwest, and West through office openings and selective acquisitions; launched Crisis & Issues Management as a dedicated practice.
Digital transformation	Built Digital & Creative Services from an in-house studio into a full practice; opened production studios in New York, Chicago, and Los Angeles.
Public listing	Completed initial public offering; listed on the Nasdaq Global Select Market under the symbol "FOC."
2019–2022	Alexandra Reyes joined (2019) and was named CEO (2022); shared services platform established; 2022 Omnibus Incentive Plan adopted.
2023–2024	Completed studio tuck-in acquisition; FocalPoint Forward development program launched; first Corporate Responsibility Report published.
2025	Established AI Assist Review Board and board-level Technology & Responsible AI Committee; acquired Capitol Reach Strategies; Digital & Creative Services became largest service line; published first materiality assessment.

Our Values

Say the true thing

We give clients our honest counsel, especially when it is unwelcome, and we hold client work to disclosure standards we would defend in public.

One firm, one team

Account teams draw on every discipline in the firm without regard to practice boundaries or internal credit. The client's outcome is the only scoreboard.

Craft over volume

We would rather do less work at a higher standard than more work at a lower one — a principle that now governs how we adopt AI tools.

Leave it better

Through the FocalPoint Foundation and our pro bono practice, we apply our craft to the communities where we live and work.

Company history and values are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

Industry & Market Trends

The trends described below shape client demand across our four service lines and inform the strategy discussed throughout this report. Industry observations are management's views, are illustrative in nature, and are prepared for demonstration purposes on the BetaNXT Issuer Portal.

Communications has become a board-level risk discipline

Reputational events now move markets, recruit or repel talent, and attract regulatory attention within hours. As a result, communications counsel has migrated from the marketing department to the C-suite and boardroom, and buyers increasingly evaluate firms on their ability to integrate media, policy, digital, and crisis capability in a single team. This trend favors integrated firms over single-discipline specialists and underpins our account-team model. In our fiscal 2025 client survey, 68% of our fifty largest clients engaged three or more of our service lines, up from 61% two years ago.

The earned-owned-paid boundary has collapsed

Clients no longer buy press releases, social campaigns, and advertising as separate products; they buy outcomes across an audience journey that crosses all three. This is the demand shift behind the growth of our Digital & Creative Services practice, which grew 11.2% in fiscal 2025 and became our largest service line. It also raises the bar on measurement: clients expect communications spend to be attributed to business results with the same rigor as performance marketing, which is why we continue to invest in our proprietary measurement stack.

Regulatory and legislative intensity is rising

Across healthcare, energy, financial services, and technology, the pace of rulemaking, enforcement, and state-level legislative activity continues to increase, and public policy outcomes increasingly determine commercial outcomes for our clients. This drives demand for our Public Affairs & Government Relations practice — up 9.4% in fiscal 2025 — and for coordinated campaigns that pair advocacy with public-facing communications. The fragmentation of policy activity across state capitals favors firms with distributed footprints, a factor in our acquisition of a regional public affairs practice during the year.

Generative AI is restructuring content economics

AI-assisted tools are collapsing the cost of producing routine content while raising the premium on judgment, original insight, and accountability. We expect commodity content production to deflate in price and senior counsel to appreciate. Our response is twofold: adopt AI-assisted production aggressively but under documented human-review governance, and concentrate our value proposition in the counsel, relationships, and measurement that AI cannot replicate. We believe governance itself is becoming a selection criterion — procurement teams increasingly ask for our AI policies during agency reviews — and that our early investment in the AI Assist Review Board is a competitive asset.

Trust in institutions remains fragile

Declining trust in media, government, and business raises both the difficulty and the value of credible communications. Misinformation risk is now a standing item in crisis planning; provenance and disclosure standards for synthetic media are advancing; and audiences reward organizations that communicate directly, quickly, and honestly. These conditions elevate demand for our Crisis & Issues Management preparedness work, which grew its recurring retainer component 6.1% in fiscal 2025 even as episodic response work normalized from an elevated prior year.

Talent models are being redefined

The professional labor market for communications talent remains tight at senior levels, while hybrid work has widened the geographic aperture for recruiting. Our 28-office footprint, structured development programs, and internal mobility marketplace are designed for this environment: they let us hire where talent lives, develop practitioners across disciplines, and retain the senior leaders whose relationships anchor client retention. Freelance and fractional talent is a permanent feature of creative production; our refreshed Freelancer Code of Conduct, including a 30-day payment guarantee, positions us as a preferred client for that talent pool.

Fiscal 2025 Service Line Review

The review below summarizes fiscal 2025 performance, investments, and representative engagement profiles for each service line. Client examples are anonymized composites, illustrative in nature, and prepared for demonstration purposes.

Media Relations & Public Relations

$398.5M	+3.9%	82%	93%+
FY2025 REVENUE	GROWTH YOY	RETAINER-BASED REVENUE	PRACTICE RETENTION

The practice sharpened its focus on executive visibility and earned-media measurement in fiscal 2025, launching a refreshed media training curriculum and expanding the 24-hour media desk to cover client announcements in all U.S. time zones. Representative engagement: for a Fortune 500 financial services client navigating a leadership transition, an integrated team delivered announcement strategy, media preparation, and employee communications across a 72-hour window, followed by a six-month executive visibility program — work that expanded into an enterprise retainer spanning three service lines.

Digital & Creative Services

$433.3M	+11.2%	3	#1
FY2025 REVENUE	GROWTH YOY	PRODUCTION STUDIOS	LARGEST SERVICE LINE

Fiscal 2025 investments centered on owned-content production capacity, retail media capabilities, and AI-assisted production tooling under AI Assist Review Board governance, which improved effective realization on fixed-fee work. Representative engagement: for a national healthcare client, the practice built and now operates a clinician-facing content platform — strategy, editorial operations, video production, and paid distribution — that consolidated work previously split across four vendors into a single FocalPoint retainer.

Public Affairs & Government Relations

$216.7M	+9.4%	22	$13.9M
FY2025 REVENUE	GROWTH YOY	STATE CAPITALS COVERED	ACQUIRED REVENUE CONTRIBUTION

The practice benefited from heightened legislative and regulatory activity and from the third-quarter acquisition of Capitol Reach Strategies, which added four state-capital offices and deep relationships in energy and healthcare policy. Representative engagement: for a coalition of regional energy providers, the practice designed and executed a fourteen-state advocacy program combining legislative monitoring, coalition communications, third-party validation, and targeted digital — coordinated with our digital practice — through two legislative sessions.

Crisis & Issues Management

$91.8M	+6.1%	<4 hrs	24%
FY2025 REVENUE	PREPAREDNESS RETAINER GROWTH	SENIOR TEAM RESPONSE STANDARD	SEGMENT CONTRIBUTION MARGIN

Against an unusually active prior-year comparison, the practice grew its recurring preparedness business — tabletop exercises, playbook development, and spokesperson training — while maintaining its response standard of fielding a senior team within four hours of engagement. Fiscal 2025 investments included misinformation-response protocols and synthetic-media detection partnerships. Representative engagement: preparedness retainer for a publicly traded manufacturer, including an annual cyber-incident tabletop conducted jointly with the client's counsel and forensic vendors, which converted to full response support when a vendor breach occurred — contained, disclosed, and resolved with no lasting reputational impact.

Service line figures and engagement profiles are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Risk Factors

An investment in our common stock involves risk. The risks described below are those we currently believe could materially affect our business, results of operations, financial condition, or the trading price of our common stock. Additional risks not presently known to us, or that we currently deem immaterial, may also impair our business. The risk factors below are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Risks Related to Our Business and Industry

Our business depends on retaining existing clients and winning new engagements.

Our retainer agreements are generally terminable by either party on 60 to 90 days' notice, and our project work is by nature non-recurring. Although our client retention rate has exceeded 92% for three consecutive years, clients may reduce scope, move work in-house, consolidate agency rosters, or terminate relationships for reasons unrelated to our performance, including budget pressure, leadership changes, or merger activity. A meaningful decline in retention or new business win rates would adversely affect our revenue and operating results.

Demand for our services is sensitive to economic conditions and client marketing budgets.

Communications and marketing spending is among the first categories clients reduce in an economic downturn. A recession, sustained inflation, capital markets disruption, or sector-specific stress in industries we serve — particularly financial services, healthcare, and technology, which together represent a substantial portion of our corporate revenue — could cause clients to delay, reduce, or cancel engagements, which would adversely affect our results.

We operate in a highly competitive and fragmented industry.

We compete with holding-company networks that have greater scale and resources, with boutique firms that may offer lower pricing or deeper specialization, and with management consultancies expanding into communications. Increased competition could pressure our pricing, our win rates, or our ability to retain talent, any of which could adversely affect margins. In addition, generative AI tools are lowering barriers to entry for certain content and production services, which could commoditize portions of our Digital & Creative Services offering over time.

Our results depend on our ability to attract, develop, and retain qualified professionals.

Our business is a talent business: clients hire us for the judgment and relationships of our people. Competition for experienced communications, public affairs, and creative professionals is intense, and our senior practitioners are regularly recruited by competitors and by clients. If we cannot attract and retain qualified professionals, or if compensation required to do so rises faster than the rates clients will pay, our business and margins would suffer. The loss of a small number of senior client-relationship leaders could result in the loss of the clients they serve.

A significant portion of our revenue is generated from project-based work that is inherently variable.

Approximately 26% of fiscal 2025 revenue was generated from project-based and hourly engagements, including crisis responses and ballot-measure campaigns that are episodic and difficult to predict. Crisis & Issues Management revenue declined 5.9% in fiscal 2025 against an unusually active prior year, illustrating this variability. Period-to-period comparisons of our results may therefore not be meaningful indicators of future performance.

Acquisitions may not deliver expected benefits and involve integration risk.

Our strategy includes selective tuck-in acquisitions, such as the regional public affairs practice acquired in the third quarter of fiscal 2025. Acquisitions involve risks including client and employee attrition at the acquired firm, cultural integration challenges, assumption of unknown liabilities, and the possibility that expected revenue synergies do not materialize. If acquired practices underperform, we may incur impairment charges to goodwill or intangible assets.

Damage to our reputation would harm our business disproportionately.

We advise clients on reputation; our own reputation is correspondingly central to winning and retaining work. Client controversies with which we become associated, conflicts of interest between clients, employee misconduct, work-product errors, or public criticism of our client roster or advocacy positions could damage our brand and cause clients or prospective employees to avoid us.

Risks Related to Technology, Data, and AI

Our adoption of AI-assisted tools presents operational, legal, and reputational risks.

We use generative AI tools in research, drafting, and production workflows under the governance of our AI Assist Review Board. These tools can produce inaccurate, biased, or infringing output; failure of our human-review controls could result in defective work product reaching clients. The legal landscape governing AI-generated content — including intellectual property ownership, disclosure obligations, and liability allocation — is unsettled and evolving. In addition, clients may contractually restrict AI use in ways that reduce expected efficiency gains, and public controversy about AI in creative industries could affect our relationships with freelance talent and industry associations.

A cybersecurity incident or data breach could materially harm our business.

We hold confidential client information, including material non-public information about public-company clients, pre-launch campaign materials, and crisis-response plans. We are a target for threat actors precisely because of the sensitivity of this information. A breach of our systems or those of our vendors could expose client confidences, trigger contractual and legal liability, impair our ability to operate, and cause severe reputational damage. While we maintain a security program aligned to recognized frameworks and carry cyber insurance, our coverage may not be adequate for all losses, and no security program can prevent all incidents.

We depend on third-party platforms and technology providers.

Our digital practice depends on social media platforms, search engines, advertising exchanges, and measurement providers whose algorithms, policies, pricing, and data-access rules change frequently and without notice. Platform changes that reduce organic reach, restrict advertising categories, limit data availability, or increase costs could reduce the effectiveness or economics of the services we provide.

Legal, Regulatory, and Compliance Risks

Our public affairs work subjects us to lobbying, campaign finance, and pay-to-play regulation.

Failure to comply with federal, state, or local lobbying registration and disclosure requirements, campaign finance restrictions, or pay-to-play rules could result in fines, penalties, debarment from certain client work, and reputational harm. These regimes differ across jurisdictions, change frequently, and in some cases impose obligations on our clients that depend on our accurate reporting. Expansion of our public affairs practice, including through acquisition, increases our compliance surface.

Evolving privacy, advertising, and consumer protection laws could increase costs or constrain our services.

State privacy statutes, FTC enforcement priorities regarding endorsements, dark patterns, and AI-generated content, and platform-level consent requirements all affect how we design and execute campaigns for clients. Compliance increases our costs, and violations — including violations caused by client-provided data or instructions — could expose us to enforcement action or litigation.

We are subject to litigation risk in the ordinary course of business.

We may be subject to claims alleging defamation arising from client work, intellectual property infringement, contract disputes, employment matters, or professional negligence. Even meritless claims can be costly to defend and damaging to our reputation. Our professional liability insurance may not cover all claims or may be insufficient in amount.

Financial Risks

Our indebtedness could constrain our flexibility.

As of fiscal year end we had $312.8 million of long-term debt outstanding, including borrowings under our revolving credit facility that bear interest at variable rates. Our credit agreement contains customary covenants, including a maximum net leverage ratio and minimum interest coverage ratio. Rising interest rates increase our borrowing costs — a hypothetical 100-basis-point increase would raise annual interest expense by approximately $1.4 million — and covenant restrictions could limit our ability to pursue acquisitions or return capital in a downturn.

Goodwill and intangible assets represent a substantial portion of our total assets.

Goodwill and intangible assets, net, were $598.7 million as of fiscal year end, or approximately 47% of total assets, arising from our acquisition history. If the performance of an acquired practice deteriorates, or if discount rates rise or market multiples contract, we could be required to record impairment charges that would adversely affect reported results, although not cash flow.

Our accounts receivable expose us to client credit risk.

Accounts receivable, net, were $268.4 million at fiscal year end, representing approximately 86 days of sales outstanding. Client financial distress, disputes, or bankruptcy could result in write-offs. Public sector clients can be subject to appropriation risk and extended payment cycles.

Quarterly results may fluctuate, and our stock price may be volatile.

Project revenue timing, crisis engagement variability, election cycles affecting public affairs work, and the seasonality of proxy and annual meeting activity among corporate clients all contribute to quarter-to-quarter variability. Our relatively modest public float can amplify stock price reactions to results that differ from expectations.

Risks Related to Ownership of Our Common Stock

We do not currently pay a dividend, and repurchase activity may vary.

We have not historically paid a regular cash dividend and currently intend to retain earnings for operations, investment, and share repurchases. Repurchase activity under our authorization is discretionary and may be suspended at any time; shareholders seeking regular income should not rely on our capital return program.

Provisions of our charter documents could delay or prevent a change of control.

Our certificate of incorporation and bylaws include provisions — advance notice requirements, the ability of the board to issue preferred stock, and limitations on shareholder action by written consent — that could discourage, delay, or prevent a transaction that shareholders might consider favorable, or reduce the price acquirers are willing to pay.

The risk factors above are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal and do not describe an actual company or actual risks. An actual filing would contain a materially more extensive discussion.

Operational Risks

Failure to accurately scope and price engagements could reduce profitability.

A meaningful portion of our project work is performed under fixed fees based on estimates of the effort required. If we underestimate complexity, scope creep goes unmanaged, or client approval cycles extend timelines, engagement economics deteriorate. Although no single engagement is material to consolidated results, systematic estimation error within a practice could meaningfully affect segment margins before corrective action takes hold.

Conflicts of interest between clients could cause us to lose engagements.

Clients in the same industry, or on opposite sides of a policy question or transaction, may object to our serving both. Our conflict-clearance procedures require screening before new engagements are accepted, and we decline or wall off work where conflicts cannot be managed. Nonetheless, conflicts — actual or perceived — periodically require us to forgo revenue, and an inadequately identified conflict could damage client relationships and our reputation.

Business interruptions could impair our ability to serve clients.

Our operations depend on the availability of our people, offices, studios, and technology platforms. Natural disasters, public health events, extended power or network outages, or failures of critical software vendors could interrupt client service, particularly time-sensitive crisis and media work. Our business continuity program includes distributed operations, remote-work capability, and vendor redundancy, but a prolonged disruption affecting multiple offices or our shared services platform could adversely affect results.

We rely on subcontractors and freelance talent for portions of client delivery.

Creative production, specialized research, and surge staffing frequently involve freelance or subcontracted talent. Misclassification claims, quality failures, confidentiality breaches by non-employees, or changes in laws governing independent contractor relationships could increase our costs or expose us to liability. Our Freelancer Code of Conduct and vendor management program mitigate, but cannot eliminate, these risks.

Failure to protect client confidential information would damage our franchise.

Beyond cybersecurity threats, we face day-to-day operational risk of inadvertent disclosure — misdirected communications, premature publication of embargoed material, or mishandling of material non-public information. An incident involving a public-company client's undisclosed information could expose us to regulatory scrutiny and would strike directly at the trust on which our business depends.

Strategic Risks

We may be unable to identify or complete acquisitions on acceptable terms.

Competition for high-quality communications and public affairs firms is significant, and valuation expectations among founders remain elevated. If we cannot source acquisitions that meet our strategic and financial criteria, an element of our growth strategy would be constrained. Conversely, competitive pressure could tempt us toward transactions at prices that impair returns; our discipline in declining such transactions may slow inorganic growth in some periods.

Expansion into adjacent services may not succeed.

We periodically extend into adjacent offerings — measurement products, retail media services, specialized advisory. These extensions require investment ahead of revenue, compete against incumbent specialists, and may dilute management attention. If adjacent offerings fail to achieve scale, we may incur losses or impairments and forgo alternative uses of capital.

Client in-housing of communications functions could reduce demand.

Some clients periodically move communications work in-house to reduce cost or increase control. While in-housing cycles have historically created subsequent demand for specialized external counsel, a sustained industry-wide shift toward internal teams — potentially accelerated by AI tools that make internal production more capable — could reduce the addressable market for portions of our services.

Our brand is concentrated in a single name.

Unlike holding companies that operate portfolios of agency brands, we operate under a single FocalPoint brand. This concentration is a strategic asset — one profile, one culture, one standard — but it means reputational damage anywhere in the firm attaches to everything, and it limits our ability to serve conflicting clients through separately branded units.

Talent and Culture Risks

Loss of members of our senior leadership team could disrupt our business.

Our performance depends significantly on the continued service of our executive officers and senior practice leaders. The loss of our chief executive officer or multiple practice leaders within a compressed period could disrupt client relationships, strategy execution, and employee retention. The board maintains succession plans for each executive officer, but transitions carry inherent execution risk.

Failure to maintain our culture as we grow could erode our competitive advantage.

We attribute much of our client retention and recruiting success to a culture of integrated collaboration and craft standards. Growth, acquisitions, distributed work, and generational change all place pressure on cultural cohesion. If our culture erodes, the collaborative behaviors that differentiate our account-team model could weaken in ways that are difficult to detect until client outcomes suffer.

Wage inflation in professional labor markets could compress margins.

Compensation and benefits represent the substantial majority of our cost base. Sustained wage inflation for experienced communications professionals, or step-changes in market compensation for AI-fluent talent, could outpace our ability to raise client pricing, particularly on multi-year retainer relationships with negotiated rate schedules.

General Risks

Changes in tax law could increase our effective tax rate.

We operate across numerous state jurisdictions with evolving apportionment, nexus, and digital services tax regimes. Changes in federal or state tax law, or in the interpretation of existing law, could increase our effective tax rate and reduce net income. Our effective rate of 31.2% in fiscal 2025 reflects a significant state tax component that varies with the geographic mix of client work.

Our insurance coverage may be inadequate.

We maintain professional liability, cyber, employment practices, directors and officers, and general liability coverage at levels we believe are customary. Insurance markets for cyber and professional liability have hardened, and certain exposures — reputational harm, contractual penalties, acts by non-employees — are difficult or impossible to insure. A significant uninsured or underinsured loss would directly affect results.

Securities analysts' expectations and limited float may amplify stock price volatility.

A small number of analysts cover our common stock, and a substantial portion of shares is held by long-tenured institutional holders, limiting trading float. Results that differ from expectations, changes in analyst coverage, or portfolio decisions by large holders could produce price movements disproportionate to changes in business fundamentals.

Anti-takeover provisions and Delaware law may affect the price of our common stock.

In addition to charter and bylaw provisions described above, we are subject to Section 203 of the Delaware General Corporation Law, which restricts business combinations with interested stockholders. These provisions could limit the price investors are willing to pay for our shares.

Properties & Office Footprint

FocalPoint operates 28 offices across six U.S. regions, anchored by its corporate headquarters at 1 Meridian Plaza in New York, New York, where the Company leases approximately 210,000 square feet under a lease expiring in fiscal 2033. All of our offices are leased; we own no real property. Our distributed footprint allows account teams to combine national scale with local market relationships and media contacts.

REGION	OFFICES	REPRESENTATIVE MARKETS
Northeast	7	New York, Boston, Philadelphia, Hartford
Mid-Atlantic	4	Washington, D.C., Baltimore, Richmond
Southeast	5	Atlanta, Charlotte, Miami, Nashville
Midwest	4	Chicago, Detroit, Minneapolis
Southwest	3	Dallas, Austin, Denver
West	5	Los Angeles, San Francisco, Seattle, Phoenix

In addition to general office space, the Company operates production studios in New York, Chicago, and Los Angeles supporting the Digital & Creative Services practice, and a media monitoring operations center co-located with our Atlanta office. During fiscal 2025 we consolidated two office locations into existing regional hubs, reducing total leased square footage by approximately 4% while maintaining market coverage through flexible workspace arrangements. We believe our facilities are adequate for our current needs and that suitable additional space will be available as needed on commercially reasonable terms. Future minimum lease payments are summarized in Note 6 to the consolidated financial statements.

Legal Proceedings & Cybersecurity

Legal Proceedings

From time to time, the Company is involved in legal proceedings arising in the ordinary course of business, including contract disputes, employment matters, and claims arising from client work. As of the date of this report, the Company is not a party to any legal proceeding that management believes would have a material adverse effect on its business, financial condition, or results of operations. The Company maintains professional liability, employment practices, cyber, and general liability insurance at levels management believes are customary for firms of our size and profile. Accruals for loss contingencies are discussed in Note 15 to the consolidated financial statements.

Cybersecurity Risk Management, Strategy, and Governance

Risk management and strategy

The Company maintains a cybersecurity program aligned to the NIST Cybersecurity Framework, overseen by our Chief Information Security Officer, who reports to the Chief Operating Officer. The program includes continuous monitoring and endpoint detection across our environment, annual third-party penetration testing, tabletop incident-response exercises conducted at least twice annually, mandatory security training for all employees with role-based supplements for personnel handling sensitive client information, and a vendor risk management process that tiers third parties by data access and applies contractual security requirements accordingly.

Because our client work routinely involves material non-public information, pre-launch campaign materials, and crisis plans, we segregate the most sensitive engagements in access-controlled workspaces with need-to-know provisioning and enhanced logging. Our incident response plan defines escalation paths, including criteria for engaging outside counsel and forensic firms and for client and regulatory notification.

Governance

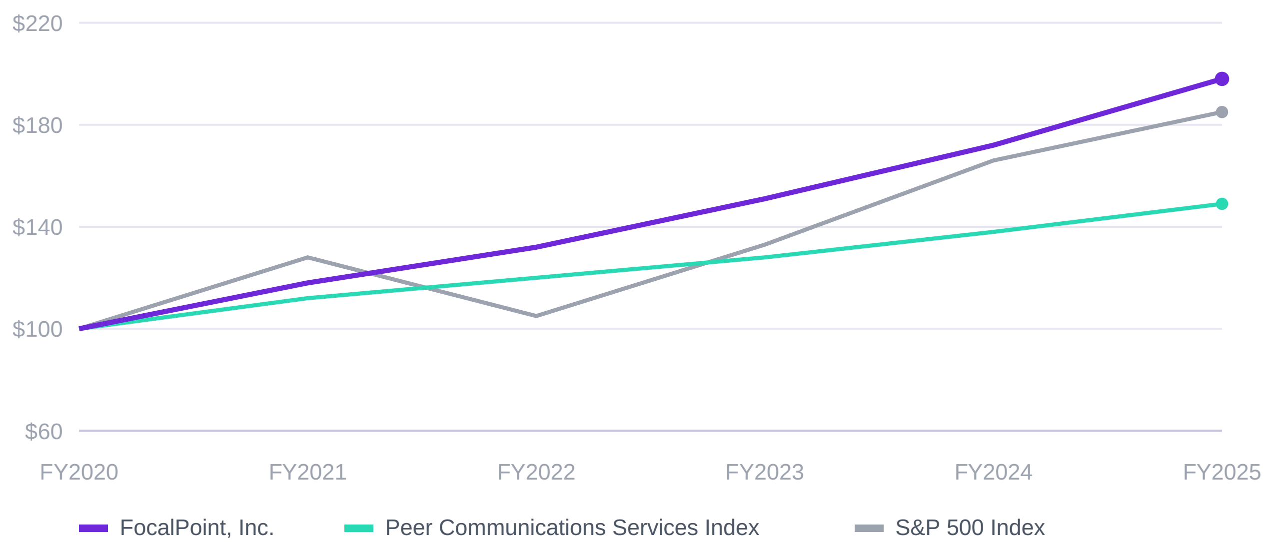
The Technology & Responsible AI Committee of the board of directors has primary oversight of cybersecurity risk and receives quarterly reports from the CISO covering threat landscape, program maturity, incident metrics, and remediation status. The full board receives an annual cybersecurity review and is notified promptly of any incident assessed as potentially material. In fiscal 2025, the Company did not identify any cybersecurity incident that materially affected, or is reasonably likely to materially affect, its business strategy, results of operations, or financial condition.

The disclosures above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Stock Performance

The graph and table below compare the cumulative total shareholder return on FocalPoint common stock over the five fiscal years ended fiscal 2025 with the cumulative total return of the S&P 500 Index and a peer group index of publicly traded communications services companies, assuming reinvestment of dividends and a $100 investment on the first day of fiscal 2021.

Cumulative Total Return — $100 Invested at Start of Fiscal 2021



	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
FocalPoint, Inc.	$100	$118	$132	$151	$172	$198
Peer Communications Services Index	$100	$112	$120	$128	$138	$149
S&P 500 Index	$100	$128	$105	$133	$166	$185

Quarterly Common Stock Price Range

FocalPoint common stock trades on the Nasdaq Global Select Market under the ticker symbol “FOC.” The table below sets forth the high and low sales prices per share for each quarter of fiscal 2025 and fiscal 2024.

QUARTER	FY2025 HIGH	FY2025 LOW	FY2024 HIGH	FY2024 LOW
First quarter	$42.18	$36.40	$33.10	$28.40
Second quarter	$45.60	$39.75	$35.75	$30.20
Third quarter	$49.20	$43.10	$38.40	$32.85
Fourth quarter	$53.85	$46.90	$40.95	$35.10

Holders of Record and Dividend Policy

As of February 20, 2026, there were approximately 340 holders of record of FocalPoint common stock; the Company estimates a substantially larger number of beneficial holders whose shares are held in street name. FocalPoint has not historically paid a regular cash dividend, preferring to return capital through share repurchases while retaining flexibility for organic investment and selective acquisitions.

Issuer Purchases of Equity Securities

FISCAL 2025 PERIOD	SHARES PURCHASED	AVG. PRICE PAID	REMAINING AUTHORIZATION
First quarter	312,000	$39.40	$118.2M
Second quarter	358,000	$42.85	$102.9M
Third quarter	290,000	$46.30	$89.5M
Fourth quarter	331,000	$50.10	$72.9M
Total	**1,291,000**	**$44.75**	**$72.9M**

Figures above are illustrative and prepared for demonstration purposes; they do not represent actual trading history or repurchase activity.

Five-Year Selected Financial Data

	FY2025	FY2024	FY2023	FY2022	FY2021
Total revenue	$1,140.3M	$1,068.9M	$1,015.4M	$932.6M	$850.2M
Operating income	$148.2M	$131.5M	$116.9M	$101.4M	$89.3M
Net income	$96.4M	$84.2M	$73.6M	$62.9M	$54.8M
Diluted earnings per share	$3.94	$3.45	$3.01	$2.57	$2.24
Total assets	$1,285.6M	$1,198.2M	$1,102.4M	$1,015.8M	$940.3M
Total stockholders' equity	$612.4M	$556.1M	$505.8M	$462.3M	$421.7M
Cash and cash equivalents	$214.8M	$189.3M	$162.7M	$148.5M	$131.2M

Fiscal years ended on the last Sunday of December. Figures above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal; they do not represent actual reported financial results.

Ten-Year Selected Financial Data

In millions of U.S. dollars, except per-share data. Fiscal years ended on the last Sunday of December. All figures are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

	REVENUE	OPERATING INCOME	NET INCOME	DILUTED EPS	TOTAL ASSETS	STOCKHOLDERS' EQUITY
FY2025	$1,140.3	$148.2	$96.4	$3.94	$1,285.6	$612.4
FY2024	$1,068.9	$131.5	$84.2	$3.45	$1,198.2	$556.1
FY2023	$1,015.4	$116.9	$73.6	$3.01	$1,102.4	$505.8
FY2022	$932.6	$101.4	$62.9	$2.57	$1,015.8	$462.3
FY2021	$850.2	$89.3	$54.8	$2.24	$940.3	$421.7
FY2020	$789.6	$78.1	$47.2	$1.93	$887.4	$389.6
FY2019	$748.3	$72.6	$43.1	$1.76	$836.9	$362.4
FY2018	$694.8	$65.4	$38.2	$1.56	$781.2	$338.9
FY2017	$641.5	$58.7	$33.9	$1.39	$724.6	$318.7
FY2016	$596.2	$52.3	$29.8	$1.22	$668.3	$301.2

Over the ten fiscal years presented, revenue grew at a compound annual rate of 7.5%, diluted earnings per share at 13.9%, and stockholders' equity at 8.2%, while operating margin expanded from 8.8% to 13.0% — reflecting the cumulative effect of mix shift toward digital services, shared services leverage, and disciplined acquisition integration.

Management's Discussion & Analysis of Financial Condition and Results of Operations

The following discussion should be read together with the consolidated financial statements and accompanying notes included elsewhere in this report. This discussion contains forward-looking statements that involve risks and uncertainties; actual results could differ materially from those discussed below. See "Risk Factors." All figures are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Overview

FocalPoint is a national strategic communications and media relations firm operating through four service lines: Media Relations & Public Relations, Digital & Creative Services, Public Affairs & Government Relations, and Crisis & Issues Management. We generate revenue primarily through annually renewing retainer agreements (approximately 74% of fiscal 2025 revenue), supplemented by project-based and hourly engagements. Our principal operating expenses are compensation and benefits for our professionals, which are reflected primarily in direct cost of services, and occupancy, technology, and corporate costs reflected in selling, general and administrative expenses.

Management evaluates performance using revenue growth by service line, organic revenue growth (which excludes acquisitions owned less than twelve months), operating margin, client retention rate, revenue per billable professional, and days sales outstanding. In fiscal 2025, organic revenue growth was 5.4%, with the acquisition of a regional public affairs practice contributing approximately 1.3 percentage points of consolidated growth.

Fiscal 2025 Compared to Fiscal 2024

Revenue

Total revenue increased $71.4 million, or 6.7%, to $1,140.3 million in fiscal 2025 from $1,068.9 million in fiscal 2024.

SERVICE LINE	FY2025	FY2024	$ CHANGE	% CHANGE
Media Relations & Public Relations	$398.5M	$383.5M	$15.0M	+3.9%
Digital & Creative Services	$433.3M	$389.7M	$43.6M	+11.2%
Public Affairs & Government Relations	$216.7M	$198.1M	$18.6M	+9.4%

SERVICE LINE	FY2025	FY2024	$ CHANGE	% CHANGE
Crisis & Issues Management	$91.8M	$97.6M	$(5.8)M	(5.9)%
Total revenue	**$1,140.3M**	**$1,068.9M**	**$71.4M**	**+6.7%**

Media Relations & Public Relations revenue grew 3.9%, reflecting continued strength in our existing client base — practice retention exceeded 93% — but a more moderate pace of new business activity than in prior years, consistent with cautious client marketing budgets in the first half of the year. Scope expansions with existing retainer clients contributed the majority of practice growth.

Digital & Creative Services revenue grew 11.2%, driven by expanded scopes with existing retainer clients, particularly in owned-content production and paid digital campaign management, and by cross-sell into media relations relationships. The practice benefited from production efficiency gains, including responsibly governed AI-assisted tooling, which improved effective realization on fixed-fee project work.

Public Affairs & Government Relations revenue grew 9.4%, reflecting heightened legislative and regulatory activity in healthcare, energy, and financial services, new client wins, and approximately $13.9 million of revenue from the regional public affairs practice acquired in the third quarter. Organic practice growth was 2.4%.

Crisis & Issues Management revenue declined 5.9% against an unusually active fiscal 2024 comparison period that included several large litigation-support engagements. Preparedness retainer revenue, the recurring component of the practice, grew 6.1%; the decline was concentrated in episodic incident-response project work. Practice utilization and client satisfaction remained strong.

Direct cost of services

Direct cost of services increased $41.2 million, or 5.8%, to $745.9 million, below the rate of revenue growth. Compensation and benefits for client-facing professionals, the largest component, increased 6.2%, reflecting merit increases and headcount growth of approximately 3% in client-facing roles. Freelance and third-party production costs increased 3.4%, held below revenue growth by improved studio utilization and production tooling. As a percentage of revenue, direct cost of services improved to 65.4% from 65.9%.

Selling, general and administrative expenses

Selling, general and administrative expenses increased $12.2 million, or 5.9%, to $217.8 million, reflecting annual merit increases, higher incentive compensation accruals tied to Company performance, and investments in business development, AI governance infrastructure, and data security capabilities, partially offset by approximately $3.1 million of lower facilities costs following the consolidation of two office locations into existing regional hubs. As a percentage of revenue, SG&A improved to 19.1% from 19.2%.

Depreciation and amortization

Depreciation and amortization increased $1.3 million to $28.4 million, reflecting amortization of intangible assets recognized in the fiscal 2025 acquisition and continued investment in technology infrastructure, partially offset by assets reaching the end of their depreciable lives.

Operating income

As a result of the foregoing, operating income increased $16.7 million, or 12.7%, to $148.2 million, and operating margin expanded 70 basis points to 13.0%.

Interest expense and other

Interest expense decreased $0.5 million to $6.3 million, as scheduled term loan repayments more than offset higher average revolver borrowings used to fund the third-quarter acquisition. Other expense, net, of $1.8 million consisted primarily of foreign exchange remeasurement on immaterial non-U.S. balances and losses on disposal of fixed assets associated with office consolidations.

Income taxes

The provision for income taxes was $43.7 million, an effective rate of 31.2%, compared to $39.3 million and 31.8% in fiscal 2024. The decrease in the effective rate primarily reflects the geographic mix of earnings across state jurisdictions and higher excess tax benefits on equity award settlements, partially offset by non-deductible acquisition costs. See Note 9 to the consolidated financial statements.

Net income and earnings per share

Net income increased $12.2 million, or 14.5%, to $96.4 million. Diluted earnings per share increased 14.2% to $3.94 from $3.45, with the difference between net income growth and EPS growth attributable to a modestly higher diluted share count.

Fiscal 2024 Compared to Fiscal 2023

Total revenue increased $53.5 million, or 5.3%, to $1,068.9 million in fiscal 2024 from $1,015.4 million in fiscal 2023. Digital & Creative Services grew 12.0% to $389.7 million on expanded digital campaign scopes; Public Affairs & Government Relations grew 5.7% to $198.1 million; Media Relations & Public Relations grew 4.2% to $383.5 million; and Crisis & Issues Management declined 12.9% to $97.6 million against an exceptional fiscal 2023 that included two large multi-quarter crisis engagements.

Operating income increased $14.6 million, or 12.5%, to $131.5 million, and operating margin expanded to 12.3% from 11.5%, driven by improved utilization and early benefits of the shared services platform. Net income increased 14.4% to $84.2 million, and diluted earnings per share increased to $3.45 from $3.01.

Quarterly Results and Seasonality

Our retainer base moderates seasonality, but project revenue is typically strongest in the second and fourth fiscal quarters, reflecting annual meeting and proxy season activity among corporate clients and legislative-session and pre-election activity among public affairs clients. The table below presents unaudited quarterly results for fiscal 2025; see also Note 17 to the consolidated financial statements.

	Q1	Q2	Q3	Q4	FY2025
Total revenue	$268.4M	$289.7M	$281.5M	$300.7M	$1,140.3M
Operating income	$32.8M	$39.4M	$36.1M	$39.9M	$148.2M
Net income	$20.1M	$25.3M	$23.6M	$27.4M	$96.4M
Diluted EPS	$0.82	$1.03	$0.97	$1.12	$3.94

Liquidity and Capital Resources

We fund operations primarily through cash flow from operations, supplemented as needed by borrowings under our revolving credit facility. As of fiscal year end, we had $214.8 million in cash and cash equivalents and $197.2 million of undrawn availability under the revolver, net of outstanding letters of credit. We believe our cash on hand, cash flow from operations, and revolver availability are sufficient to fund operations, planned capital expenditures, and debt service obligations for at least the next twelve months and for the foreseeable future thereafter.

Cash flows from operating activities

Net cash provided by operating activities was $156.3 million in fiscal 2025, compared to $138.9 million in fiscal 2024. The $17.4 million increase reflects higher net income, higher non-cash stock-based compensation, and continued discipline in managing accounts receivable, which remained at approximately 86 days of sales outstanding, consistent with fiscal 2024, partially offset by higher incentive compensation payments in the first quarter related to fiscal 2024 performance.

Cash flows from investing activities

Net cash used in investing activities was $48.2 million, consisting of $23.9 million of capital expenditures — principally studio equipment, technology infrastructure, and leasehold improvements — $21.5 million, net of cash acquired, for the acquisition of Capitol Reach Strategies LLC, and $2.8 million of other investing outflows. Fiscal 2024 investing outflows of $52.6 million included a larger technology infrastructure program.

Cash flows from financing activities

Net cash used in financing activities was $82.6 million, reflecting $58.4 million of share repurchases under the Company's authorization, $15.6 million of scheduled term loan repayments, and $8.6 million of dividend-equivalent distributions on vested restricted stock units and employee tax withholding remittances on equity settlements.

Revolving credit facility and covenants

Our credit agreement provides a $250.0 million revolving credit facility maturing in fiscal 2029 and a term loan with $260.0 million outstanding at fiscal year end. Borrowings bear interest at SOFR plus an applicable margin based on net leverage. The agreement requires a maximum net leverage ratio of 3.50x and minimum interest coverage of 3.00x; as of fiscal year end, we were in compliance with all covenants, with net leverage of 0.6x and interest coverage in excess of 23x. See Note 8 to the consolidated financial statements.

Capital Allocation

Our capital allocation priorities are, in order: organic investment in talent and technology; selective tuck-in acquisitions that extend geographic or capability coverage; and return of excess capital to shareholders through share repurchases. During fiscal 2025 we repurchased 1,291,000 shares at an average price of $44.75, and $72.9 million remained available under the board's authorization at fiscal year end. We have not historically paid a regular cash dividend; the board reviews our capital return approach annually.

Contractual Obligations and Commitments

OBLIGATION	TOTAL	LESS THAN 1 YEAR	1–3 YEARS	THEREAFTER
Long-term debt (incl. interest)	$348,600	$31,400	$76,200	$241,000
Operating lease obligations	$186,400	$28,700	$52,300	$105,400
Purchase & technology commitments	$42,100	$18,900	$21,600	$1,600
Total	**$577,100**	**$79,000**	**$150,100**	**$348,000**

Presented in thousands of U.S. dollars. Amounts are illustrative and prepared for demonstration purposes.

Off-Balance Sheet Arrangements

As of fiscal year end, we had $2.8 million of outstanding standby letters of credit supporting office leases and no other off-balance sheet arrangements that have, or are reasonably likely to have, a material effect on our financial condition, results of operations, or liquidity.

Critical Accounting Estimates

The preparation of consolidated financial statements requires management to make estimates and assumptions that affect reported amounts. We believe the following estimates involve the greatest degree of judgment.

Revenue recognition

Revenue on retainer arrangements is recognized ratably over the service period, reflecting the stand-ready nature of our obligations. Project-based engagements are recognized as performance obligations are satisfied, which for fixed-fee projects requires estimates of progress toward completion, generally measured by labor input. Changes in project scope are evaluated as contract modifications. Estimated losses on fixed-fee projects are recognized when identified. See Note 2.

Goodwill and intangible asset impairment

Goodwill is tested for impairment annually in the fourth quarter at the reporting-unit level, or more frequently if indicators arise. We may first assess qualitative factors; where quantitative testing is performed, fair value is estimated using discounted cash flows and market multiples, requiring assumptions about revenue growth, margins, discount rates, and terminal values. The fiscal 2025 annual test indicated fair values substantially in excess of carrying values for all reporting units. Finite-lived intangibles, principally client relationships, are reviewed when events indicate carrying amounts may not be recoverable.

Income taxes

We operate in numerous state jurisdictions with differing apportionment and nexus rules. The income tax provision requires judgment regarding apportionment, the realizability of deferred tax assets, and uncertain tax positions. We recognize benefits from uncertain positions only when it is more likely than not the position will be sustained on examination.

Incentive compensation accruals

Annual incentive compensation, a significant component of direct cost of services and SG&A, is accrued through the year based on estimated full-year firm, practice, and individual performance. Final determinations occur after year end; historically, final amounts have not differed materially from year-end accruals.

Recently Issued Accounting Pronouncements

See Note 1 to the consolidated financial statements for a discussion of recently issued accounting pronouncements and their expected impact on our consolidated financial statements.

Quantitative and Qualitative Disclosures About Market Risk

Our primary market risk exposure is to interest rate fluctuations on variable-rate borrowings under our credit agreement. Based on balances outstanding at fiscal year end, a hypothetical 100-basis-point increase in interest rates would increase annual interest expense by approximately $1.4 million. We operate almost entirely within the United States and do not have material foreign currency exposure. We do not use derivative financial instruments for trading or speculative purposes. Our cash and cash equivalents are held in high-quality money market funds and bank deposits; a 100-basis-point decrease in short-term rates would reduce annual interest income by approximately $2.1 million.

Inflation

Compensation is our largest cost, and sustained wage inflation in professional labor markets affects our cost base. We have historically been able to offset compensation inflation through annual rate increases on retainer renewals, mix shift toward higher-value services, and productivity gains; a prolonged period in which client pricing does not keep pace with wage inflation would compress margins.

The discussion above contains forward-looking statements and illustrative figures prepared for demonstration purposes on the BetaNXT Issuer Portal and does not represent an actual FocalPoint financial filing.

Supplemental Operating & Financial Review

The supplemental data below is provided to give shareholders additional context on operating trends. All figures are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Key Performance Indicators

	FY2025	FY2024	FY2023
Organic revenue growth	5.4%	5.3%	7.1%
Client retention rate	92.4%	92.6%	92.1%
Revenue under retainer agreements	74%	73%	71%
Clients engaging 3+ service lines (top 50)	68%	64%	61%
Revenue per billable professional	$274K	$264K	$252K
Days sales outstanding	86	86	89
Employees (fiscal year end)	6,830	6,640	6,480
Voluntary director+ turnover	9.8%	10.6%	12.1%

Revenue by Service Line — Three-Year Trend

SERVICE LINE	FY2025	FY2024	FY2023	2-YR CAGR
Media Relations & Public Relations	$398.5M	$383.5M	$367.9M	4.1%
Digital & Creative Services	$433.3M	$389.7M	$348.0M	11.6%
Public Affairs & Government Relations	$216.7M	$198.1M	$187.5M	7.5%
Crisis & Issues Management	$91.8M	$97.6M	$112.0M	(9.5)%
Total revenue	**$1,140.3M**	**$1,068.9M**	**$1,015.4M**	**6.0%**

Common-Size Income Statement

AS A % OF TOTAL REVENUE	FY2025	FY2024	FY2023
Direct cost of services	65.4%	65.9%	66.1%
Gross margin	34.6%	34.1%	33.9%
Selling, general & administrative	19.1%	19.2%	19.8%
Depreciation & amortization	2.5%	2.5%	2.5%
Operating margin	13.0%	12.3%	11.5%
Net margin	8.5%	7.9%	7.2%

Segment Contribution — Three-Year Trend

SEGMENT CONTRIBUTION	FY2025	FY2024	FY2023
Media Relations & Public Relations	$83,700	$79,400	$74,700
Digital & Creative Services	$82,300	$71,700	$62,300
Public Affairs & Government Relations	$47,700	$42,800	$39,800
Crisis & Issues Management	$22,000	$23,900	$28,300
Corporate and unallocated	$(87,500)	$(86,300)	$(88,200)
Consolidated operating income	**$148,200**	**$131,500**	**$116,900**

In thousands of U.S. dollars. Segment contribution is defined in Note 16 to the consolidated financial statements.

Capital Deployment — Five-Year Summary

	FY2025	FY2024	FY2023	FY2022	FY2021
Capital expenditures	$23.9M	$48.1M	$30.6M	$26.4M	$22.8M
Acquisitions, net of cash	$21.5M	$—	$11.2M	$38.6M	$—
Share repurchases	$58.4M	$46.2M	$41.8M	$28.4M	$21.6M
Debt repayments, net	$15.6M	$10.4M	$15.6M	$12.2M	$18.4M

Return Metrics

	FY2025	FY2024	FY2023
Return on average stockholders' equity	16.5%	15.9%	15.2%
Net debt / adjusted EBITDA	0.5x	0.8x	1.1x
Operating cash flow conversion (OCF / net income)	162%	165%	165%

Non-GAAP Financial Measures

Management uses adjusted EBITDA and adjusted EBITDA margin, which are not measures defined under U.S. GAAP, to evaluate operating performance because they exclude items not indicative of core operations. These measures should be considered supplemental to, not substitutes for, GAAP results, and may not be comparable to similarly titled measures used by other companies. The table below reconciles net income, the most directly comparable GAAP measure, to adjusted EBITDA.

	FY2025	FY2024	FY2023
Net income	$96,400	$84,200	$73,600
Interest expense	$6,300	$6,800	$7,100
Income tax provision	$43,700	$39,300	$35,300
Depreciation & amortization	$28,400	$27,100	$25,700
Stock-based compensation	$16,800	$14,900	$13,600
Acquisition-related costs	$2,100	$—	$1,400
Office consolidation charges	$1,900	$2,400	$—
Adjusted EBITDA	**$195,600**	**$174,700**	**$156,700**
Adjusted EBITDA margin	17.2%	16.3%	15.4%

Presented in thousands of U.S. dollars except percentages. Figures are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Reports of Management and Independent Registered Public Accounting Firm

Management's Report on Internal Control Over Financial Reporting

Management is responsible for establishing and maintaining adequate internal control over financial reporting, as defined in Rules 13a-15(f) and 15d-15(f) under the Securities Exchange Act of 1934. Under the supervision of our Chief Executive Officer and Chief Financial Officer, management assessed the effectiveness of the Company's internal control over financial reporting as of December 28, 2025, using the criteria set forth by the Committee of Sponsoring Organizations of the Treadway Commission in *Internal Control — Integrated Framework (2013)*. Based on that assessment, management concluded that the Company's internal control over financial reporting was effective as of December 28, 2025. Management's assessment excluded Capitol Reach Strategies LLC, acquired in the third quarter of fiscal 2025, which represented approximately 2% of total assets and 1% of total revenue.

Alexandra Reyes
President & Chief Executive Officer

Sarah Kim
Executive Vice President & Chief Financial Officer

Report of Independent Registered Public Accounting Firm

To the Stockholders and Board of Directors of FocalPoint, Inc.:

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of FocalPoint, Inc. and subsidiaries (the "Company") as of December 28, 2025 and December 29, 2024, the related consolidated statements of income, comprehensive income, stockholders' equity, and cash flows for each of the three fiscal years in the period ended December 28, 2025, and the related notes (collectively, the "financial statements"). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as of December 28, 2025 and December 29, 2024, and the results of its operations and its cash flows for each of the three fiscal years in the period ended December 28, 2025, in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the Public Company Accounting Oversight Board (United States) and are required to be independent with respect to the Company in accordance with U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB. We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud.

Critical Audit Matter — Revenue Recognition for Fixed-Fee Project Engagements

As described in Note 2, the Company recognizes revenue on fixed-fee project engagements as performance obligations are satisfied, measured principally by labor input toward completion. Auditing management's estimates of progress toward completion involved significant judgment, particularly for engagements with evolving scope. Our procedures included testing controls over project setup, scope modification, and progress measurement; evaluating a sample of engagements by comparing estimated progress to underlying time records and contract terms; and performing retrospective review of completed projects against prior estimates.

Harrow & Vance LLP

We have served as the Company's auditor since 2018.
New York, New York — February 24, 2026

Consolidated Financial Statements

Consolidated Statements of Income

In thousands of U.S. dollars, except per-share data.

	FY2025	FY2024	FY2023
Total revenue	$1,140,300	$1,068,900	$1,015,400
Direct cost of services	$745,900	$704,700	$671,400
Gross profit	$394,400	$364,200	$344,000
Selling, general & administrative expenses	$217,800	$205,600	$201,400
Depreciation & amortization	$28,400	$27,100	$25,700
Operating income	$148,200	$131,500	$116,900
Other income (expense), net	$(1,800)	$(1,200)	$(900)
Interest expense	$(6,300)	$(6,800)	$(7,100)
Income before income taxes	$140,100	$123,500	$108,900
Income tax provision	$(43,700)	$(39,300)	$(35,300)
Net income	**$96,400**	**$84,200**	**$73,600**
Basic earnings per share	$4.01	$3.51	$3.06
Diluted earnings per share	$3.94	$3.45	$3.01
Weighted-average basic shares outstanding	24,040	23,990	24,050
Weighted-average diluted shares outstanding	24,470	24,400	24,450

Consolidated Statements of Comprehensive Income

	FY2025	FY2024	FY2023
Net income	$96,400	$84,200	$73,600
Unrealized gain (loss) on interest rate cap, net of tax	$(400)	$(700)	$900

	FY2025	FY2024	FY2023
Comprehensive income	**$96,000**	**$83,500**	**$74,500**

Consolidated Balance Sheets

In thousands of U.S. dollars. As of fiscal year end.

	FY2025	FY2024
Assets		
Cash and cash equivalents	$214,800	$189,300
Accounts receivable, net of allowance of $6,200 and $5,800	$268,400	$251,900
Prepaid expenses & other current assets	$42,600	$38,100
Total current assets	$525,800	$479,300
Property and equipment, net	$86,900	$81,200
Goodwill	$512,300	$489,600
Intangible assets, net	$86,400	$83,500
Operating lease right-of-use assets	$58,600	$51,200
Other long-term assets	$15,600	$13,400
Total assets	**$1,285,600**	**$1,198,200**
Liabilities and Stockholders' Equity		
Accounts payable & accrued liabilities	$198,400	$182,700
Deferred revenue	$64,200	$58,900
Total current liabilities	$262,600	$241,600
Long-term debt	$312,800	$328,400
Operating lease liabilities, non-current	$61,400	$54,300
Deferred income taxes and other long-term liabilities	$36,400	$17,800
Total liabilities	$673,200	$642,100
Common stock and additional paid-in capital	$228,600	$211,800
Retained earnings	$495,400	$407,600
Treasury stock, at cost	$(110,600)	$(62,700)

	FY2025	FY2024
Accumulated other comprehensive loss	$(1,000)	$(600)
Total stockholders' equity	$612,400	$556,100
Total liabilities and equity	**$1,285,600**	**$1,198,200**

Consolidated Statements of Stockholders' Equity

In thousands of U.S. dollars.

	FY2025	FY2024	FY2023
Balance, beginning of year	$556,100	$505,800	$462,300
Net income	$96,400	$84,200	$73,600
Share repurchases	$(58,400)	$(46,200)	$(41,800)
Stock-based compensation	$16,800	$14,900	$13,600
Equity plan settlements and other, net	$1,900	$(1,900)	$(2,800)
Other comprehensive income (loss)	$(400)	$(700)	$900
Balance, end of year	**$612,400**	**$556,100**	**$505,800**

Consolidated Statements of Cash Flows

In thousands of U.S. dollars.

	FY2025	FY2024	FY2023
Operating activities			
Net income	$96,400	$84,200	$73,600
Depreciation & amortization	$28,400	$27,100	$25,700
Stock-based compensation	$16,800	$14,900	$13,600
Deferred income taxes	$3,900	$2,100	$1,800
Changes in working capital and other	$10,800	$10,600	$6,700
Net cash provided by operating activities	$156,300	$138,900	$121,400
Investing activities			
Capital expenditures	$(23,900)	$(48,100)	$(30,600)
Acquisitions, net of cash acquired	$(21,500)	$—	$(11,200)
Other investing activities	$(2,800)	$(4,500)	$(2,300)

	FY2025	FY2024	FY2023
Net cash used in investing activities	$(48,200)	$(52,600)	$(44,100)
Financing activities			
Share repurchases	$(58,400)	$(46,200)	$(41,800)
Repayments of long-term debt	$(15,600)	$(10,400)	$(15,600)
Dividend equivalents and employee tax withholding	$(8,600)	$(3,100)	$(5,700)
Net cash used in financing activities	$(82,600)	$(59,700)	$(63,100)
Net increase in cash and cash equivalents	**$25,500**	**$26,600**	**$14,200**
Cash and cash equivalents, beginning of year	$189,300	$162,700	$148,500
Cash and cash equivalents, end of year	**$214,800**	**$189,300**	**$162,700**

The consolidated financial statements above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal. They are not derived from actual audited financial statements and do not represent an actual FocalPoint financial filing. The accompanying notes are an integral part of these statements.

Notes to Consolidated Financial Statements

Dollar amounts in thousands unless otherwise noted. The notes below are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal and do not represent an actual FocalPoint filing.

Note 1 — Description of Business and Summary of Significant Accounting Policies

Description of business

FocalPoint, Inc. (the "Company") is a national strategic communications and media relations firm serving corporate, public sector, and nonprofit clients through four service lines: Media Relations & Public Relations, Digital & Creative Services, Public Affairs & Government Relations, and Crisis & Issues Management. The Company operates 28 offices in the United States and is headquartered in New York, New York.

Basis of presentation and fiscal year

The consolidated financial statements include the accounts of the Company and its wholly owned subsidiaries; intercompany balances and transactions have been eliminated. The Company's fiscal year ends on the last Sunday of December and generally contains 52 weeks. Fiscal 2025 ended December 28, 2025; fiscal 2024 ended December 29, 2024; and fiscal 2023 ended December 31, 2023, a 53-week year.

Use of estimates

Preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenue, and expenses. Significant estimates include progress toward completion on fixed-fee projects, the allowance for credit losses, goodwill and intangible asset valuations, incentive compensation accruals, and income taxes. Actual results could differ from those estimates.

Cash and cash equivalents

Cash equivalents consist of highly liquid investments with original maturities of three months or less, principally money market funds and bank deposits, carried at cost, which approximates fair value.

Accounts receivable and allowance for credit losses

Accounts receivable are recorded at invoiced amounts, net of an allowance for credit losses estimated using historical loss experience adjusted for current conditions and reasonable forecasts, applied on a pooled basis by client market. The allowance was $6,200 and $5,800 at fiscal 2025 and 2024 year end, respectively; write-offs have not been material in any period presented.

Property and equipment

Property and equipment are stated at cost less accumulated depreciation, computed on a straight-line basis over estimated useful lives: three to five years for technology and studio equipment, five to seven years for furniture, and the shorter of the lease term or useful life for leasehold improvements.

Leases

The Company determines whether an arrangement is or contains a lease at inception. Operating lease right-of-use assets and liabilities are recognized at commencement based on the present value of fixed payments over the lease term, using the Company's incremental borrowing rate. The Company elected the practical expedients to combine lease and non-lease components and to exclude short-term leases from balance sheet recognition. See Note 6.

Goodwill and intangible assets

Goodwill is not amortized and is tested for impairment annually in the fourth quarter, or more frequently if indicators arise. Finite-lived intangible assets, principally client relationships and trade names, are amortized on a straight-line basis over estimated useful lives of four to twelve years. See Note 4.

Stock-based compensation

Compensation cost for restricted stock units and performance stock units is measured at grant-date fair value and recognized over the requisite service period, with performance awards adjusted for the probability of achievement. Forfeitures are recognized as they occur. See Note 11.

Income taxes

The Company accounts for income taxes under the asset-and-liability method. Deferred tax assets and liabilities reflect temporary differences between financial reporting and tax bases, measured at enacted rates expected to apply when the differences reverse. See Note 9.

Recently issued accounting pronouncements

In fiscal 2025 the Company adopted expanded segment disclosure guidance requiring disclosure of significant segment expenses; the adoption affected disclosure only. Recently issued guidance expanding income tax disclosures is effective for the Company in fiscal 2026 and is expected to affect disclosure only. No other recently issued pronouncements are expected to have a material effect on the consolidated financial statements.

Note 2 — Revenue

The Company generates revenue from retainer arrangements and from project-based and hourly engagements. Retainer revenue is recognized ratably over the service period, reflecting the stand-ready nature of the Company's promise. Fixed-fee project revenue is recognized over time as performance obligations are satisfied, measured principally by labor hours incurred relative to total estimated hours. Hourly engagements are recognized as hours are incurred at contractual rates. Pass-through costs incurred on behalf of clients, such as paid media placements where the Company acts as agent, are recorded net of amounts owed to media vendors.

REVENUE BY ARRANGEMENT TYPE	FY2025	FY2024	FY2023
Retainer arrangements	$843,800	$780,300	$726,000
Project-based and hourly engagements	$296,500	$288,600	$289,400
Total revenue	**$1,140,300**	**$1,068,900**	**$1,015,400**

Deferred revenue of $64,200 at fiscal 2025 year end consists principally of retainer billings in advance of service and project milestones billed ahead of performance; substantially all deferred revenue at each year end is recognized as revenue in the following fiscal year. Remaining performance obligations under non-cancelable arrangements extending beyond one year are not material, as retainer agreements are generally terminable on 60 to 90 days' notice.

Note 3 — Acquisitions

In the third quarter of fiscal 2025, the Company acquired 100% of the membership interests of Capitol Reach Strategies LLC, a regional public affairs practice with offices in four state capitals, for cash consideration of $21,500, net of cash acquired, plus contingent consideration of up to $4,000 tied to revenue retention through fiscal 2027, with an acquisition-date fair value of $2,600. The acquisition extends the Public Affairs & Government Relations practice's state-level coverage. The preliminary purchase price allocation recognized $14,200 of goodwill (deductible for tax purposes), $6,800 of client relationship intangibles amortizable over eight years, $1,200 of trade name intangibles amortizable over four years, and $1,900 of net tangible assets. Capitol Reach contributed revenue of $13,900 and operating income of $2,100 from the acquisition date through fiscal year end. Pro forma results are not presented as the acquisition was not material. Acquisition-related costs of $2,100 were expensed as incurred within SG&A.

Note 4 — Goodwill and Intangible Assets

GOODWILL BY SEGMENT	FY2024	ACQUISITIONS	FY2025
Media Relations & Public Relations	$168,400	$—	$168,400
Digital & Creative Services	$201,700	$8,500	$210,200
Public Affairs & Government Relations	$86,300	$14,200	$100,500
Crisis & Issues Management	$33,200	$—	$33,200
Total goodwill	**$489,600**	**$22,700**	**$512,300**

The fiscal 2025 Digital & Creative Services addition reflects final allocation adjustments related to a fiscal 2023 studio acquisition and an immaterial asset acquisition. The fiscal 2025 annual impairment test, performed quantitatively for all reporting units, indicated fair values substantially in excess of carrying values; no impairment has been recognized in any period presented. Intangible assets, net, of $86,400 consist of client relationships of $71,900 (net of accumulated amortization of $48,300) and trade names and other of $14,500. Amortization expense was $9,800, $9,100, and $8,700 in fiscal 2025, 2024, and 2023, respectively, and estimated amortization is approximately $10,400 for each of the next five fiscal years.

Note 5 — Property and Equipment

	FY2025	FY2024
Technology and studio equipment	$98,200	$88,700
Leasehold improvements	$76,400	$72,900
Furniture and other	$31,800	$30,400
Accumulated depreciation	$(119,500)	$(110,800)
Property and equipment, net	**$86,900**	**$81,200**

Depreciation expense was $18,600, $18,000, and $17,000 in fiscal 2025, 2024, and 2023, respectively.

Note 6 — Leases

The Company leases all of its office and studio space under operating leases with remaining terms of one to eight years, some of which include renewal options not reasonably certain of exercise. Operating lease cost was $31,200, $32,600, and $32,100 in fiscal 2025, 2024, and 2023, respectively, including short-term and variable lease costs of $3,800 in fiscal 2025. The weighted-average remaining lease term was 6.2 years and the weighted-average discount rate was 4.9% at fiscal 2025 year end. Future minimum lease payments are: fiscal 2026 — $28,700; fiscal 2027 — $27,100; fiscal 2028 — $25,200; fiscal 2029 — $23,800; fiscal 2030 — $22,400; thereafter — $59,200; total $186,400, less imputed interest of $27,400, for total lease liabilities of $79,000, of which $17,600 is current (within accounts payable and accrued liabilities) and $61,400 is non-current.

Note 7 — Accounts Payable and Accrued Liabilities

	FY2025	FY2024
Accounts payable	$61,300	$57,800
Accrued compensation and benefits	$94,600	$85,400
Operating lease liabilities, current	$17,600	$16,200
Other accrued liabilities	$24,900	$23,300
Total	**$198,400**	**$182,700**

Note 8 — Debt

Long-term debt consists of a term loan with $260,000 outstanding and revolving credit facility borrowings of $52,800 at fiscal 2025 year end (fiscal 2024: $275,600 and $52,800, respectively). The credit agreement, which matures in fiscal 2029, provides a $250,000 revolving facility, of which $197,200 was available at fiscal year end net of $2,800 of outstanding letters of credit. Borrowings bear interest at SOFR plus an applicable margin of 1.25% to 2.00% based on net leverage; the weighted-average rate on outstanding borrowings was 5.7% at fiscal year end. The agreement is secured by substantially all assets of the Company, requires a maximum net leverage ratio of 3.50x and minimum interest coverage of 3.00x, and contains customary restrictions on additional indebtedness, liens, and restricted payments. The Company was in compliance with all covenants at fiscal year end, with net leverage of 0.6x. Scheduled term loan principal repayments are $15,600 annually through fiscal 2028, with the remainder due at maturity. The Company holds an interest rate cap on $130,000 of notional term loan exposure, designated as a cash flow hedge; its fair value is not material.

Note 9 — Income Taxes

The provision for income taxes consists of current expense of $39,800, $37,200, and $33,500 and deferred expense of $3,900, $2,100, and $1,800 in fiscal 2025, 2024, and 2023, respectively. The effective rate differs from the U.S. federal statutory rate of 21% principally due to state income taxes, net of federal benefit (7.4 points in fiscal 2025), non-deductible compensation and entertainment (2.1 points), and non-deductible acquisition costs (0.4 points), partially offset by excess tax benefits on equity settlements (0.7 points). Deferred tax liabilities, net, of $28,600 relate principally to goodwill amortization and depreciation, partially offset by deferred tax assets for accrued compensation and lease liabilities. The Company has no material unrecognized tax benefits and does not expect a material change within twelve months; fiscal years 2022 through 2025 remain open to examination in major jurisdictions.

Note 10 — Stockholders' Equity

The Company is authorized to issue 100,000,000 shares of common stock, par value $0.01, and 10,000,000 shares of preferred stock, none of which is outstanding. Shares of common stock outstanding were 23,890,000 at fiscal 2025 year end, compared to 24,760,000 at fiscal 2024 year end, reflecting repurchases of 1,291,000 shares partially offset by 421,000 shares issued under equity plans. Under the repurchase authorization approved by the board in fiscal 2024, the Company repurchased shares for $58,400 at an average price of $44.75 during fiscal 2025, and $72,900 remained available at fiscal year end. Repurchased shares are held in treasury at cost.

Note 11 — Stock-Based Compensation

The 2022 Omnibus Incentive Plan authorizes 2,400,000 shares for issuance, of which 812,000 remained available at fiscal 2025 year end. The Company grants restricted stock units ("RSUs") vesting ratably over three years and performance stock units ("PSUs") vesting after three years based on cumulative adjusted EPS and relative total shareholder return. Stock-based compensation expense was $16,800, $14,900, and $13,600 in fiscal 2025, 2024, and 2023, respectively, and unrecognized compensation cost of $24,600 at fiscal year end will be recognized over a weighted-average period of 1.8 years.

AWARD ACTIVITY (UNITS IN THOUSANDS)	RSUS	WTD-AVG GRANT FAIR VALUE	PSUS	WTD-AVG GRANT FAIR VALUE
Outstanding, beginning of year	742	$36.80	316	$38.10
Granted	318	$44.20	128	$45.60
Vested / settled	(348)	$34.90	(102)	$33.40
Forfeited	(41)	$39.10	(14)	$40.20
Outstanding, end of year	**671**	**$41.30**	**328**	**$42.50**

Note 12 — Earnings Per Share

Basic earnings per share is computed by dividing net income by weighted-average basic shares outstanding of 24,040,000, 23,990,000, and 24,050,000 in fiscal 2025, 2024, and 2023, respectively. Diluted earnings per share reflects the dilutive effect of unvested RSUs and PSUs of 430,000, 410,000, and 400,000 units, respectively, computed under the treasury stock method. There were no material antidilutive awards in any period presented.

Note 13 — Employee Benefit Plans

The Company sponsors a defined contribution 401(k) plan covering substantially all employees, with a Company match of 50% of employee contributions up to 6% of eligible compensation. Company matching expense was $14,200, $13,300, and $12,600 in fiscal 2025, 2024, and 2023, respectively. The Company also maintains a non-qualified deferred compensation plan for certain senior employees; plan assets held in a rabbi trust and the corresponding liability of $9,800 are included in other long-term assets and other long-term liabilities, respectively. The Company does not sponsor any defined benefit pension plans.

Note 14 — Fair Value Measurements

Cash equivalents (Level 1) are valued at quoted market prices. The interest rate cap (Level 2) is valued using observable forward interest rate curves. Contingent consideration from the Capitol Reach acquisition (Level 3) is valued using a probability-weighted discounted cash flow model; its balance was $2,700 at fiscal year end, with the change from the acquisition-date fair value of $2,600 recognized in SG&A. The carrying value of long-term debt approximates fair value because borrowings bear variable market rates (Level 2). There were no transfers between levels during fiscal 2025.

Note 15 — Commitments and Contingencies

The Company is party to legal proceedings arising in the ordinary course of business, including contract, employment, and client-work-related matters. Management does not believe the outcome of any pending matter, individually or in the aggregate, will have a material adverse effect on the Company's financial position, results of operations, or cash flows; no material accruals for loss contingencies were recorded at fiscal 2025 or 2024 year end. The Company had purchase and technology commitments of $42,100 at fiscal year end, principally software subscriptions, media monitoring data, and studio equipment, and outstanding standby letters of credit of $2,800 supporting office leases. The Company provides customary indemnifications to clients and landlords in the ordinary course; historically, payments under such indemnifications have not been material.

Note 16 — Segment Information

The Company's four service lines are its operating and reportable segments, consistent with how the chief operating decision maker, the Chief Executive Officer, allocates resources and assesses performance. Segment contribution represents segment revenue less direct compensation, freelance, and other costs attributable to the segment, and excludes corporate shared services, depreciation and amortization on shared infrastructure, and stock-based compensation.

FY2025	REVENUE	SEGMENT CONTRIBUTION	CONTRIBUTION MARGIN
Media Relations & Public Relations	$398,500	$83,700	21.0%
Digital & Creative Services	$433,300	$82,300	19.0%
Public Affairs & Government Relations	$216,700	$47,700	22.0%
Crisis & Issues Management	$91,800	$22,000	24.0%
Corporate and unallocated	$—	$(87,500)	—
Consolidated operating income	**$1,140,300**	**$148,200**	**13.0%**

Substantially all revenue is generated, and all long-lived assets are held, within the United States. No single client represented more than 3% of consolidated revenue in any period presented. Segment asset information is not provided to the chief operating decision maker and is therefore not disclosed.

Note 17 — Quarterly Financial Data (Unaudited)

FY2025	Q1	Q2	Q3	Q4
Total revenue	$268,400	$289,700	$281,500	$300,700
Gross profit	$91,300	$100,900	$97,200	$105,000
Operating income	$32,800	$39,400	$36,100	$39,900
Net income	$20,100	$25,300	$23,600	$27,400
Diluted EPS	$0.82	$1.03	$0.97	$1.12

Note 18 — Subsequent Events

In January 2026, the board of directors increased the share repurchase authorization by $75,000. In February 2026, the Company entered into a definitive agreement to acquire a boutique healthcare communications practice for consideration of approximately $9,500; the transaction, which is expected to close in the second quarter of fiscal 2026, is not expected to be material to the consolidated financial statements. The Company evaluated subsequent events through February 24, 2026, the date the financial statements were available for issuance, and identified no other events requiring recognition or disclosure.

Notes 1 through 18 are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal and do not represent an actual FocalPoint filing.

Supplementary Financial Data

Selected Quarterly Financial Data (Unaudited) — Two Years

In thousands of U.S. dollars, except per-share data.

FY2025	Q1	Q2	Q3	Q4
Total revenue	$268,400	$289,700	$281,500	$300,700
Gross profit	$91,300	$100,900	$97,200	$105,000
Operating income	$32,800	$39,400	$36,100	$39,900
Net income	$20,100	$25,300	$23,600	$27,400
Diluted EPS	$0.82	$1.03	$0.97	$1.12

FY2024	Q1	Q2	Q3	Q4
Total revenue	$254,100	$272,600	$263,800	$278,400
Gross profit	$85,600	$93,700	$89,400	$95,500
Operating income	$28,900	$34,800	$31,900	$35,900
Net income	$17,900	$22,400	$20,600	$23,300
Diluted EPS	$0.73	$0.92	$0.84	$0.96

Valuation and Qualifying Accounts

ALLOWANCE FOR CREDIT LOSSES	FY2025	FY2024	FY2023
Balance, beginning of year	$5,800	$5,500	$4,900
Provision charged to expense	$1,700	$1,400	$1,600
Write-offs, net of recoveries	$(1,300)	$(1,100)	$(1,000)
Balance, end of year	**$6,200**	**$5,800**	**$5,500**

All supplementary data is illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Controls & Procedures

Evaluation of Disclosure Controls and Procedures

Under the supervision and with the participation of management, including our Chief Executive Officer and Chief Financial Officer, we evaluated the effectiveness of the design and operation of our disclosure controls and procedures as of December 28, 2025. Based on that evaluation, the Chief Executive Officer and Chief Financial Officer concluded that our disclosure controls and procedures were effective at the reasonable assurance level as of that date.

Changes in Internal Control Over Financial Reporting

During the fourth quarter of fiscal 2025, the Company implemented workflow controls formalizing documented human review of AI-assisted client deliverables and related billing descriptions. Other than the foregoing and the ongoing integration of Capitol Reach Strategies LLC into the Company's control environment, there were no changes in internal control over financial reporting that materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Inherent Limitations

Management does not expect that disclosure controls or internal control over financial reporting will prevent or detect all errors and all fraud. A control system, no matter how well designed and operated, can provide only reasonable, not absolute, assurance that its objectives are met, and the design of a control system must reflect resource constraints and the benefits of controls relative to their costs.

The disclosures above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Leadership

Executive Officers

Alexandra Reyes

PRESIDENT & CHIEF EXECUTIVE OFFICER

Joined FocalPoint in 2019; named CEO in 2022. Previously led digital and integrated communications strategy for a national media and marketing services holding company.

Sarah Kim

EXECUTIVE VICE PRESIDENT & CHIEF FINANCIAL OFFICER

Joined FocalPoint in 2021. Previously served as CFO of a publicly traded professional services company, with prior experience in investment banking.

David Ferreira

EXECUTIVE VICE PRESIDENT & CHIEF OPERATING OFFICER

Joined FocalPoint in 2016. Oversees client operations and delivery across FocalPoint's 28-office network.

Nicole Andrade

EVP, CHIEF MARKETING & DIGITAL OFFICER

Joined FocalPoint in 2020. Leads FocalPoint's digital and creative services practice and the firm's own brand and marketing function.

Brian Talbot

EVP, GENERAL COUNSEL & CORPORATE SECRETARY

Joined FocalPoint in 2017. Oversees legal, compliance, data privacy, and corporate governance matters.

Board of Directors

Full director biographies, committee assignments, and independence determinations are set forth in the Company's 2026 Proxy Statement.

NAME	BOARD ROLE
Dana Whitfield	Non-Executive Chair of the Board
Alexandra Reyes	President & Chief Executive Officer
Marcus Ilori	Lead Independent Director
Renée Castellano	Director — Marketing & Consumer Insights
Priya Anand	Director — Technology & Digital Transformation
Thomas Okafor	Director — Client Operations & Delivery
Helena Voss	Director — Human Capital & Culture
James Calloway	Director — Corporate Development & Strategic Partnerships

Board Committees

COMMITTEE	CHAIR	MEETINGS IN FISCAL 2025
Audit Committee	Marcus Ilori	8
Compensation Committee	Helena Voss	6
Nominating & Corporate Governance Committee	Renée Castellano	5
Technology & Responsible AI Committee	Priya Anand	4

Each standing committee operates under a written charter available at focalpoint.com/investors. All committee members other than the CEO are independent under Nasdaq listing standards.

Corporate Governance Highlights

Independent oversight

Seven of eight directors are independent, board leadership is separated between a non-executive chair and the CEO, and independent directors meet in executive session at every regularly scheduled board meeting.

Aligned incentives

Executive officers are subject to stock ownership guidelines of five times base salary for the CEO and three times for other officers, along with a clawback policy covering incentive compensation.

Annual accountability

All directors stand for election annually under a majority-vote standard, and the board conducts an annual self-evaluation facilitated by the Nominating & Corporate Governance Committee.

Responsible AI governance

The Technology & Responsible AI Committee, established in fiscal 2025, oversees the AI Assist Review Board and receives quarterly reports on AI usage, data security, and client-disclosure practices.

Shareholder Engagement

During fiscal 2025, management and directors engaged with holders representing approximately 62% of shares outstanding. Feedback from those conversations informed the board's decisions to expand disclosure of AI governance practices in this report and to add workforce-representation metrics to the Corporate Responsibility Snapshot. Shareholders may communicate with the board through the process described in the Company's 2026 Proxy Statement.

Governance information above is illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Additional Executive Officers & Operating Leadership

In addition to the executive officers profiled under Leadership, the following officers lead key functions and regions.

Rebecca Osei

SVP, CHIEF PEOPLE OFFICER

Joined FocalPoint in 2018. Leads talent acquisition, development, total rewards, and the FocalPoint Forward program across the Company's 28 offices.

Daniel Kwan

SVP, CHIEF INFORMATION SECURITY OFFICER

Joined FocalPoint in 2021. Leads the Company's cybersecurity program, client-confidentiality controls, and vendor security risk management; reports quarterly to the Technology & Responsible AI Committee.

Maria Delgado-Ruiz

SVP, CHIEF ACCOUNTING OFFICER & CONTROLLER

Joined FocalPoint in 2020. Responsible for accounting operations, external reporting, and internal control over financial reporting.

Jonathan Pierce

PRESIDENT, EAST REGION

Joined FocalPoint in 2012. Oversees the Northeast and Mid-Atlantic office groups, including the New York headquarters market and the Washington, D.C. public affairs hub.

Aisha Robinson

PRESIDENT, CENTRAL & SOUTH REGIONS

Joined FocalPoint in 2015. Oversees the Southeast, Midwest, and Southwest office groups and leads the integration of Capitol Reach Strategies.

Kevin O'Rourke

PRESIDENT, WEST REGION

Joined FocalPoint in 2017. Oversees the West office group, including the Los Angeles production studio, and co-leads the firm's technology-sector client group.

Officer profiles are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

Director Biographies

Biographical information for each member of the board of directors is set forth below. Committee assignments and independence determinations are described in the Company's 2026 Proxy Statement.

Dana Whitfield

NON-EXECUTIVE CHAIR OF THE BOARD — DIRECTOR SINCE 2018

Former chief executive officer of a national professional services firm, where she led a decade of growth and two successful platform integrations. Ms. Whitfield chairs the board's executive sessions and brings public-company leadership, M&A, and client-market perspective. She also serves on the board of a publicly traded business services company.

Alexandra Reyes

PRESIDENT & CHIEF EXECUTIVE OFFICER — DIRECTOR SINCE 2022

Chief executive officer of FocalPoint since 2022. Ms. Reyes joined the Company in 2019 after leading digital and integrated communications strategy for a national media and marketing services holding company, and previously held senior roles in brand and campaign leadership across consumer and technology sectors.

Marcus Ilori

LEAD INDEPENDENT DIRECTOR — DIRECTOR SINCE 2019

Retired audit partner of a global accounting firm, where he served technology and business services clients for more than two decades. Mr. Ilori chairs the Audit Committee, qualifies as an audit committee financial expert, and brings deep experience in financial reporting, internal control, and risk oversight.

Renée Castellano

DIRECTOR — MARKETING & CONSUMER INSIGHTS — DIRECTOR SINCE 2020

Chief marketing officer of a Fortune 250 consumer products company. Ms. Castellano chairs the Nominating & Corporate Governance Committee and brings the perspective of the senior client buyer — the executive our account teams serve — along with expertise in brand strategy and consumer analytics.

Priya Anand

DIRECTOR — TECHNOLOGY & DIGITAL TRANSFORMATION — DIRECTOR SINCE 2021

Chief technology officer of an enterprise software company and former head of platform engineering at a global digital agency network. Ms. Anand chairs the Technology & Responsible AI Committee and guides the board's oversight of cybersecurity, data governance, and the Company's responsible AI program.

Thomas Okafor

DIRECTOR — CLIENT OPERATIONS & DELIVERY — DIRECTOR SINCE 2019

Former chief operating officer of a multinational professional services organization, with expertise in service delivery models, utilization management, and shared services design. Mr. Okafor serves on the Audit and Compensation Committees.

Helena Voss

DIRECTOR — HUMAN CAPITAL & CULTURE — DIRECTOR SINCE 2020

Former chief human resources officer of a publicly traded financial services company. Ms. Voss chairs the Compensation Committee and brings expertise in executive compensation design, succession planning, and workforce strategy for talent-driven businesses.

James Calloway

DIRECTOR — CORPORATE DEVELOPMENT & STRATEGIC PARTNERSHIPS — DIRECTOR SINCE 2023

Managing partner of a private investment firm focused on business and marketing services, and former head of corporate development for a communications holding company. Mr. Calloway serves on the Nominating & Corporate Governance and Technology & Responsible AI Committees and advises on acquisition strategy.

Director biographies are illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

Corporate Governance Practices

The board of directors believes strong governance protects shareholder value in a business built on trust. Highlights of the Company's governance framework are set forth below; complete disclosure appears in the 2026 Proxy Statement.

Board Skills and Experience Matrix

SKILL / EXPERIENCE	WHITFIELD	REYES	ILORI	CASTELLANO	ANAND	OKAFOR	VOSS	CALLOWAY
Public company leadership	●	●	●	●	●	●	●	●
Communications / marketing industry	●	●		●	●			●
Financial reporting & audit	●		●			●		●
Technology / cybersecurity / AI		●			●			
Human capital & compensation	●					●	●	
M&A / corporate development	●	●						●
Public policy & regulatory				●		●		

Board Meetings and Attendance

The board held seven meetings in fiscal 2025. Each director attended at least 90% of the aggregate meetings of the board and the committees on which the director served, and all directors attended the 2025 Annual Meeting of Stockholders. Independent directors met in executive session, chaired by the Non-Executive Chair, at every regularly scheduled board meeting.

Governance Policies

Independence and refreshment

Seven of eight directors are independent under Nasdaq standards. Average director tenure is 5.1 years, and the board added one new director within the last three years. The Nominating & Corporate Governance Committee reviews board composition annually against the skills matrix above.

Annual elections and majority voting

All directors stand for election annually under a majority-vote standard with a director resignation policy in uncontested elections.

Stock ownership and trading policies

Non-employee directors must hold five times their annual cash retainer in Company stock within five years of joining. Hedging and pledging of Company securities are prohibited for all directors and executive officers, and trading is permitted only during open windows under the Company's insider trading policy.

Ethics and compliance

The Code of Business Conduct applies to all directors, officers, and employees, with annual certification. A third-party ethics reporting line is available to employees, freelancers, and vendors; the Audit Committee reviews report trends quarterly.

Governance information is illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Board Committee Reports

The reports below are provided in summary form for shareholder convenience; complete committee reports appear in the 2026 Proxy Statement. All content is illustrative and prepared for demonstration purposes.

Report of the Audit Committee

The Audit Committee oversees the Company's financial reporting process on behalf of the board. In fulfilling its oversight responsibilities for fiscal 2025, the Committee reviewed and discussed the audited consolidated financial statements with management and with Harrow & Vance LLP, the Company's independent registered public accounting firm, including the critical audit matter described in the auditor's report. The Committee discussed with the auditor the matters required by applicable PCAOB standards, received the written disclosures required by PCAOB independence rules, and discussed the auditor's independence, including the compatibility of non-audit services with independence. The Committee met eight times in fiscal 2025, including private sessions with the auditor, the Chief Financial Officer, the Chief Accounting Officer, and internal audit at each regular meeting. Based on these reviews and discussions, the Committee recommended to the board that the audited financial statements be included in this Annual Report.

Marcus Ilori (Chair), Thomas Okafor, James Calloway

Report of the Compensation Committee

The Compensation Committee reviewed and discussed the Compensation Discussion & Analysis with management and, based on that review, recommended its inclusion in the Company's 2026 Proxy Statement. During fiscal 2025 the Committee refreshed the peer group used for benchmarking, approved the fiscal 2025 incentive designs described in the Executive Compensation Summary, engaged its independent consultant to review the program against evolving market and governance standards, and certified performance results for the fiscal 2023–2025 PSU cycle at 108% of target based on cumulative adjusted EPS and relative total shareholder return.

Helena Voss (Chair), Thomas Okafor, Dana Whitfield

Report of the Technology & Responsible AI Committee

In its first full year, the Committee held four meetings, approved the charter and approved-tool catalog of management's AI Assist Review Board, reviewed quarterly human-review compliance reporting (including the fourth-quarter workflow controls that address the gap between the 98% fiscal 2025 result and the Company's 100% policy), received the annual cybersecurity program assessment and penetration test results, and reviewed the Company's incident response plan against tabletop exercise outcomes. The Committee also reviewed the data governance provisions applicable to client confidential information in AI workflows and confirmed the Company's policy prohibiting the use of client confidential information to train third-party models.

Priya Anand (Chair), James Calloway, Alexandra Reyes (non-voting management member)

Executive Compensation Summary

The following summary is provided for the convenience of shareholders. The complete Compensation Discussion & Analysis, required tables, and pay-versus-performance disclosure are set forth in the Company's 2026 Proxy Statement.

Compensation Philosophy

Our executive compensation program is designed to pay for performance, align management with shareholders, and retain the leadership of a talent-driven firm. Target compensation is benchmarked to a peer group of publicly traded professional and marketing services companies. For fiscal 2025, approximately 72% of the CEO's target compensation and 63% of other named executive officers' target compensation was at risk, delivered through the annual incentive plan (tied to revenue, adjusted EBITDA, and client retention) and long-term equity awards (60% PSUs tied to cumulative adjusted EPS and relative total shareholder return; 40% RSUs).

Fiscal 2025 Summary Compensation

NAME AND PRINCIPAL POSITION	SALARY	ANNUAL INCENTIVE	EQUITY AWARDS	ALL OTHER	TOTAL
Alexandra Reyes — President & CEO	$975,000	$1,463,000	$2,900,000	$68,400	$5,406,400
Sarah Kim — EVP & CFO	$650,000	$715,000	$1,200,000	$41,200	$2,606,200
David Ferreira — EVP & COO	$625,000	$672,000	$1,050,000	$39,700	$2,386,700
Nicole Andrade — EVP, CMDO	$560,000	$571,000	$850,000	$34,100	$2,015,100
Brian Talbot — EVP, GC & Secretary	$540,000	$519,000	$700,000	$32,600	$1,791,600

Equity awards reflect grant-date fair value. "All Other" consists principally of 401(k) match and deferred compensation contributions. Amounts are illustrative and prepared for demonstration purposes.

Governance Features

The program includes stock ownership guidelines of five times base salary for the CEO and three times for other executive officers, a compensation clawback policy compliant with Nasdaq listing standards, double-trigger change-in-control vesting, prohibitions on hedging and pledging Company stock, and no excise tax gross-ups. The Compensation Committee retains an independent compensation consultant that performs no other work for the Company. At the 2025 annual meeting, the say-on-pay proposal received support from approximately 94% of votes cast.

Executive Compensation — Supplemental Tables

The tables below supplement the Executive Compensation Summary. Complete required disclosure appears in the 2026 Proxy Statement. All amounts are illustrative and prepared for demonstration purposes.

Grants of Plan-Based Awards — Fiscal 2025

NAME	ANNUAL INCENTIVE TARGET	PSUS GRANTED (TARGET)	RSUS GRANTED	GRANT-DATE FAIR VALUE
Alexandra Reyes	$1,250,000	38,200	26,300	$2,900,000
Sarah Kim	$585,000	15,800	10,900	$1,200,000
David Ferreira	$563,000	13,800	9,500	$1,050,000
Nicole Andrade	$476,000	11,200	7,700	$850,000
Brian Talbot	$432,000	9,200	6,400	$700,000

Outstanding Equity Awards at Fiscal Year End

NAME	UNVESTED RSUS	MARKET VALUE	UNEARNED PSUS (TARGET)	MARKET VALUE
Alexandra Reyes	61,400	$3,197,000	98,600	$5,134,000
Sarah Kim	25,700	$1,338,000	40,900	$2,130,000
David Ferreira	22,600	$1,177,000	36,100	$1,880,000
Nicole Andrade	18,300	$953,000	29,200	$1,520,000
Brian Talbot	15,000	$781,000	24,000	$1,250,000

Market values based on the fiscal year-end closing price of $52.07.

CEO Pay Ratio

For fiscal 2025, the annual total compensation of our median employee was approximately $94,600, and the annual total compensation of our CEO was $5,406,400, yielding a ratio of approximately 57:1. The median employee was identified using total cash compensation for all employees as of a determination date in the fourth quarter of fiscal 2025.

Director Compensation

ELEMENT	AMOUNT
Annual cash retainer	$95,000
Annual equity retainer (RSUs)	$160,000
Non-Executive Chair additional retainer	$110,000
Committee chair retainers (Audit / Comp / NCG / Tech)	$25,000 / $20,000 / $15,000 / $15,000
Lead Independent Director retainer	$30,000

Directors who are employees receive no additional compensation for board service. Director RSUs vest at the following annual meeting and are subject to the ownership guidelines described under Corporate Governance Practices.

Security Ownership

The table below sets forth beneficial ownership of the Company's common stock as of February 20, 2026 by each person known to beneficially own more than 5% of outstanding shares, each director and named executive officer, and all directors and executive officers as a group. Beneficial ownership is determined under SEC rules and is based on 23,890,000 shares outstanding.

BENEFICIAL OWNER	SHARES	% OF OUTSTANDING
Meridian Capital Advisors LP	2,842,000	11.9%
Ironbridge Asset Management LLC	2,193,000	9.2%
Stanhope Global Investors, Inc.	1,671,000	7.0%
Alexandra Reyes	286,000	1.2%
Dana Whitfield	64,000	*
Sarah Kim	58,000	*
David Ferreira	92,000	*
All directors and executive officers as a group (13 persons)	712,000	3.0%

* Less than 1%. Institutional holdings and all figures are fictitious, illustrative sample content prepared for demonstration purposes on the BetaNXT Issuer Portal.

Corporate Responsibility

FocalPoint's corporate responsibility strategy is organized around four pillars — People, Planet, Craft, and Community. Fiscal 2025 highlights are summarized below; complete disclosure, including our materiality assessment, goals, and GRI content index, is available in our companion 2025 Corporate Responsibility Report.

44%	62%	98%	$3.8M
WOMEN IN DIRECTOR+ ROLES	OFFICES ON RENEWABLE ENERGY	AI DELIVERABLES HUMAN-REVIEWED	PRO BONO & COMMUNITY VALUE

People

Our People pillar covers development, wellbeing, and representation. In fiscal 2025 we expanded the FocalPoint Forward development program to twelve additional offices, bringing coverage to 24 of 28 offices; promoted a record 214 employees into director-and-above roles, approximately 70% of open senior positions filled internally; and achieved an 87% engagement survey participation rate with top-quartile engagement scores. Women held 44% of director-and-above roles at fiscal year end, against a fiscal 2028 goal of 48%, and voluntary director-and-above turnover was 9.8%. We published our first formal materiality assessment in fiscal 2025, which confirmed talent development and responsible content practices as our most material topics.

Planet

As a professional services firm, our environmental footprint is concentrated in offices and travel. At fiscal year end, 62% of our offices were powered by renewable energy through green tariffs and renewable energy credits, up from 54% a year earlier, and our office consolidations reduced total leased square footage by approximately 4%. We measure Scope 1, 2, and business-travel Scope 3 emissions annually and disclose them, together with reduction targets, in the Corporate Responsibility Report.

Craft

Our Craft pillar covers the integrity of the work itself. In fiscal 2025 we stood up the AI Assist Review Board to govern the responsible use of generative AI in client work; 98% of AI-assisted deliverables received documented human review before delivery, and fourth-quarter workflow controls were implemented to close the gap to our 100% policy target. We refreshed our Freelancer Code of Conduct with a 30-day payment guarantee, trained all client-facing employees on disclosure standards for sponsored and AI-assisted content, and maintained our policy against undisclosed astroturf campaigns and deceptive grassroots work — engagements we decline as a matter of standing policy.

Community

The FocalPoint Foundation provides pro bono communications support and media literacy programming in the communities where we operate. In fiscal 2025, the Foundation and our practice teams delivered $3.8 million in combined pro bono services, grants, and volunteer time, including capacity-building programs for 46 nonprofit organizations and media literacy workshops reaching approximately 12,000 students. Employees receive two paid volunteer days annually, and 58% used at least one in fiscal 2025.

Governance of Corporate Responsibility

The Nominating & Corporate Governance Committee oversees the corporate responsibility program, with the Technology & Responsible AI Committee overseeing AI governance and the Audit Committee overseeing disclosure controls for reported metrics. Management's Corporate Responsibility Council, chaired by the General Counsel, meets quarterly and reports to the board annually.

Corporate responsibility metrics are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Corporate Responsibility — Fiscal 2025 Metrics

The tables below summarize key metrics under each pillar. Methodologies, boundaries, and assurance status are described in the 2025 Corporate Responsibility Report. All metrics are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

People

	FY2025	FY2024	FY2023
Women — total workforce	58%	57%	57%
Women — director-and-above roles	44%	42%	40%
Racially/ethnically diverse employees — total workforce	36%	34%	32%
Internal fill rate, director-and-above openings	70%	66%	62%
Employees promoted to director-and-above	214	187	169
Engagement survey participation	87%	84%	82%
Average training hours per employee	31	28	26

Planet

	FY2025	FY2024	FY2023
Offices on renewable energy	62%	54%	46%
Scope 1 & 2 emissions (tCO_2e, market-based)	6,420	7,180	7,890
Business travel Scope 3 emissions (tCO_2e)	11,240	10,860	9,940
Leased square footage change YoY	(4)%	(1)%	+2%

Craft

	FY2025	FY2024
AI-assisted deliverables receiving documented human review	98%	n/a

	FY2025	FY2024
Employees trained on disclosure standards	100% client-facing	88%
Freelancer invoices paid within 30 days	96%	81%
Client work declined under content-integrity policy (engagements)	14	11

Community

	FY2025	FY2024	FY2023
Pro bono, grants & volunteer value	$3.8M	$3.3M	$2.9M
Nonprofits receiving capacity-building support	46	39	34
Students reached by media literacy programs	~12,000	~9,500	~7,800
Employees using at least one volunteer day	58%	52%	49%

Awards & Recognition

RECOGNITION	YEAR
Best Places to Work in Communications (national list)	2025
Regional Chamber of Commerce Community Partnership Award	2025
Industry Trade Association Digital Innovation Award	2024
PR Industry Crisis Response Campaign of the Year (finalist)	2024

Awards listed are illustrative examples prepared for demonstration purposes.

Looking Ahead: Fiscal 2026 Priorities

Deepen Client Relationships

Expand the number of clients engaging FocalPoint across multiple service lines, building on the 74% of fiscal 2025 revenue generated under retainer-based agreements.

Scale Responsible AI Adoption

Expand the AI Assist Review Board's approved-tool catalog while maintaining 100% human review of AI-assisted client deliverables.

Grow Public Affairs Capacity

Add senior talent in public affairs and government relations to meet continued client demand tied to regulatory and legislative activity.

Advance Workforce Goals

Continue progress toward our fiscal 2028 goal of 48% women in director-and-above roles and expand the FocalPoint Forward development program to additional offices.

Office Directory

FocalPoint operates the following 28 offices. All addresses are fictitious sample content prepared for demonstration purposes.

Northeast

OFFICE	ADDRESS	FOCUS
New York (HQ)	1 Meridian Plaza, Suite 3200, New York, NY 10005	All practices; production studio
Boston	200 Beacon Harbor Way, Boston, MA 02110	Corporate, healthcare, higher education
Philadelphia	1650 Liberty Bell Court, Philadelphia, PA 19103	Corporate, public sector
Hartford	77 Constitution Green, Hartford, CT 06103	Financial services, insurance
Stamford	400 Harborview Drive, Stamford, CT 06901	Financial services
Albany	12 Capitol Park West, Albany, NY 12207	Public affairs
Newark	550 Gateway Commons, Newark, NJ 07102	Corporate, public sector

Mid-Atlantic

OFFICE	ADDRESS	FOCUS
Washington, D.C.	801 Pennsylvania Crescent NW, Washington, DC 20004	Public affairs hub; all practices
Baltimore	320 Inner Harbor Point, Baltimore, MD 21202	Healthcare, public sector
Richmond	901 Monument Row, Richmond, VA 23219	Public affairs, energy
Harrisburg	210 Statehouse Square, Harrisburg, PA 17101	Public affairs

Southeast

OFFICE	ADDRESS	FOCUS
Atlanta	1180 Peachtree Summit, Atlanta, GA 30309	All practices; monitoring operations center
Charlotte	525 Queen City Commons, Charlotte, NC 28202	Financial services
Miami	78 Biscayne Bayfront, Miami, FL 33131	Consumer, multicultural marketing
Nashville	440 Music Row South, Nashville, TN 37203	Healthcare, entertainment
Tallahassee	101 Capital Oaks Drive, Tallahassee, FL 32301	Public affairs

Midwest

OFFICE	ADDRESS	FOCUS
Chicago	333 Wacker Landing, Chicago, IL 60606	All practices; production studio
Detroit	1500 Woodward Exchange, Detroit, MI 48226	Industrial, mobility
Minneapolis	820 Nicollet Crossing, Minneapolis, MN 55402	Consumer, retail
Columbus	250 Scioto Gateway, Columbus, OH 43215	Public affairs

Southwest

OFFICE	ADDRESS	FOCUS
Dallas	1900 Reunion Terrace, Dallas, TX 75201	Corporate, energy
Austin	316 Congress Landing, Austin, TX 78701	Technology, public affairs
Denver	1700 Front Range Plaza, Denver, CO 80202	Energy, public sector

West

OFFICE	ADDRESS	FOCUS
Los Angeles	5900 Sunset Meridian, Los Angeles, CA 90028	All practices; production studio
San Francisco	101 Embarcadero Vista, San Francisco, CA 94105	Technology
Seattle	701 Rainier Overlook, Seattle, WA 98104	Technology, consumer
Phoenix	2 Camelback Gateway, Phoenix, AZ 85012	Public sector, healthcare
Sacramento	980 Capitol Mall West, Sacramento, CA 95814	Public affairs

Investor Information

Common Stock Profile

	AS OF FISCAL 2025 YEAR END
Exchange / ticker	Nasdaq Global Select Market / FOC
Shares outstanding	23,890,000
Closing price (December 26, 2025)	$52.07
Market capitalization	~$1.24 billion
Fiscal 2025 price range	$36.40 – $53.85
Holders of record (February 20, 2026)	~340
Remaining repurchase authorization (incl. January 2026 increase)	$147.9M

Analyst Coverage

FocalPoint is covered by research analysts at several institutions. A current list is maintained at focalpoint.com/investors. The Company does not distribute analyst reports and is not responsible for their content; any opinions, estimates, or forecasts are those of the analysts alone.

Financial Calendar

EVENT	EXPECTED TIMING
First quarter fiscal 2026 results	Late April 2026
2026 Annual Meeting of Stockholders (virtual)	May 14, 2026, 10:00 AM ET
Second quarter fiscal 2026 results	Late July 2026
Third quarter fiscal 2026 results	Late October 2026
Fiscal 2026 results	Late February 2027

Shareholder Services

Questions regarding stock transfer, lost certificates, address changes, or account consolidation should be directed to the Company's transfer agent, Meridian Trust & Transfer Company, at shareholderservices@meridiantrust.example. Beneficial holders should contact their broker. Investor inquiries may be directed to investors@focalpoint.example. Copies of this Annual Report, the 2026 Proxy Statement, and the 2025 Corporate Responsibility Report are available without charge at focalpoint.com/investors.

Investor information is illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal.

Glossary of Terms

The following terms are used throughout this report.

TERM	DEFINITION
Adjusted EBITDA	Net income before interest, taxes, depreciation and amortization, stock-based compensation, and identified items; reconciled under Non-GAAP Financial Measures.
AI Assist Review Board	Management governance body overseeing the approved-tool catalog and human-review requirements for AI-assisted client work.
Client retention rate	Percentage of prior-year revenue from clients retained in the current year, measured on a revenue-weighted basis.
Contribution margin	Segment contribution divided by segment revenue; see Note 16 for the definition of segment contribution.
DSO	Days sales outstanding — accounts receivable, net, divided by average daily revenue.
Earned / owned / paid media	Coverage obtained through media relations (earned); channels a client controls, such as websites and newsletters (owned); and purchased placements (paid).
FocalPoint Forward	The Company's structured development program for practitioners from associate through managing director.
Organic revenue growth	Revenue growth excluding businesses owned less than twelve months.
Preparedness retainer	Recurring Crisis & Issues Management engagement covering playbooks, tabletop exercises, and training.
PSU / RSU	Performance stock unit / restricted stock unit granted under the 2022 Omnibus Incentive Plan.
Retainer arrangement	Annually renewing agreement providing a defined scope of ongoing services for a fixed periodic fee.
Segment contribution	Segment revenue less direct compensation, freelance, and other directly attributable costs; excludes corporate shared services, D&A on shared infrastructure, and stock-based compensation.

TERM	DEFINITION
Tuck-in acquisition	Acquisition of a smaller practice integrated into an existing service line rather than operated independently.

Cautionary Note Regarding Forward-Looking Statements

This report contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements regarding fiscal 2026 priorities, expected client demand, planned investments in talent and technology, the anticipated benefits of acquisitions, workforce representation goals, capital allocation intentions, and the sufficiency of our liquidity. Forward-looking statements are identified by words such as "expect," "believe," "intend," "anticipate," "plan," "goal," "will," and similar expressions.

Forward-looking statements are based on management's current expectations and assumptions and are subject to risks and uncertainties that could cause actual results to differ materially, including those described under "Risk Factors" in this report: client retention and demand conditions; competition for engagements and talent; the pace and governance of AI adoption; cybersecurity and confidentiality incidents; regulatory developments affecting lobbying, advertising, and data practices; acquisition integration; interest rate conditions; and general economic conditions affecting client marketing budgets.

Any forward-looking statement speaks only as of the date of this report, and the Company undertakes no obligation to update any forward-looking statement except as required by law. Shareholders are cautioned not to place undue reliance on forward-looking statements.

Corporate & Shareholder Information

Corporate Headquarters

FocalPoint, Inc.
1 Meridian Plaza, Suite 3200
New York, NY 10005

Stock Listing

Nasdaq Global Select Market
Ticker: FOC

Independent Registered Public Accounting Firm

Harrow & Vance LLP

Transfer Agent & Registrar

Meridian Trust & Transfer Company
shareholderservices@meridiantrust.example

Annual Meeting

FocalPoint's 2026 Annual Meeting of Stockholders will be held virtually on May 14, 2026, at 10:00 AM Eastern Time. See the Company's 2026 Proxy Statement for details.

Investor Relations

investors@focalpoint.example
focalpoint.com/investors

FocalPoint

CORPORATE RESPONSIBILITY

2025 Corporate Responsibility Report

FocalPoint, Inc. (Nasdaq: FOC) — People, Planet, Craft, and Community

FISCAL YEAR	TICKER	PREPARED FOR
Ended December 28, 2025	Nasdaq: FOC	BetaNXT, Inc.

Table of Contents

Letter From Leadership

Corporate responsibility at FocalPoint means bringing the same rigor to our own workforce, operations, and communities that we bring to the campaigns we build for clients.

Fiscal 2025 was a year of deliberate progress. We formalized goals across all four of our responsibility pillars, published our first materiality assessment informed directly by employee, client, and investor input, and stood up new governance structures — including an internal AI Assist Review Board — to keep pace with the technology reshaping our industry.

None of this work happens in isolation from the business. Our clients increasingly ask us how we manage data privacy, how we use artificial intelligence responsibly, and how our own workforce reflects the audiences we help them reach. This report is our answer, and our accountability mechanism for the commitments described in it.

We are proud of the progress detailed on the pages that follow, and clear-eyed about the work still ahead.

Alexandra Reyes — President & Chief Executive Officer
Dana Whitfield — Non-Executive Chair of the Board

FocalPoint at a Glance

$1.14B	6,800+	28	1,200+
FISCAL 2025 REVENUE	EMPLOYEES	OFFICES NATIONWIDE	ACTIVE CLIENTS

FocalPoint, Inc. (Nasdaq: FOC) is a national strategic communications and media relations firm serving corporate, public sector, and nonprofit clients across four connected service lines:

Media Relations & Public Relations

Earned media strategy, press outreach, and reputation management.

Public Affairs & Government Relations

Advocacy, coalition building, and policy communications.

Digital & Creative Services

Content, design, and campaign work across digital channels.

Crisis & Issues Management

Rapid-response counsel and communications support in high-stakes moments.

Our Approach to Corporate Responsibility

FocalPoint's corporate responsibility strategy is organized around four pillars — People, Planet, Craft, and Community — underpinned by the governance practices described later in this report. The strategy is overseen by our Chief People Officer and General Counsel, with regular updates to the full Board of Directors on progress against goals.

This report references the Global Reporting Initiative (GRI) Standards and relevant Sustainability Accounting Standards Board (SASB) disclosure topics for the Professional & Commercial Services and Media & Entertainment industries, and identifies alignment with the United Nations Sustainable Development Goals (SDGs) most relevant to our business.

People	Planet	Craft	Community
WORKFORCE, CAREERS & WELL-BEING	OFFICES, TRAVEL & DIGITAL OPS	CONTENT INTEGRITY & AI	PRO BONO & MEDIA LITERACY

Materiality Assessment

In fiscal 2025, we conducted our first formal materiality assessment, surveying employees, a sample of clients, and investors to identify the topics most important to our stakeholders and most significant to our business. The results below inform how we prioritize the initiatives described in this report.

TOPIC	STAKEHOLDER PRIORITY	BUSINESS IMPACT	PRIMARY PILLAR
Data privacy & security	High	High	Governance
Responsible use of AI	High	High	Craft
Talent attraction & retention	High	High	People
Content integrity & disclosure	High	High	Craft
Client data stewardship	High	High	Governance
Diversity, equity & inclusion	High	Medium	People
Freelancer fair treatment	Medium	Medium	Governance
Business travel emissions	Medium	Medium	Planet
Office energy use	Medium	Medium	Planet
Community investment	Medium	Low	Community

Stakeholder Engagement

STAKEHOLDER GROUP	ENGAGEMENT METHOD	KEY TOPICS RAISED
Employees	Engagement surveys, town halls, Employee Resource Groups	Career development, well-being, DEI
Clients	Account reviews, satisfaction surveys	Service quality, data security, content integrity
Investors	Earnings calls, Annual Meeting, ESG-focused investor outreach	Financial performance, governance, climate-related risk
Freelancers & Vendors	Onboarding surveys, Code of Conduct attestations	Fair payment terms, business conduct
Communities	Foundation partnerships, media literacy programming	Pro bono support, local engagement

Fiscal 2025 Highlights

$3.8M PRO BONO & COMMUNITY CAMPAIGNS	**44%** WOMEN IN DIRECTOR+ ROLES	**62%** OFFICES ON RENEWABLE ENERGY CONTRACTS	**97%** STAFF COMPLETING DATA PRIVACY TRAINING
-24% SCOPE 1+2 EMISSIONS VS. FY2023	**1,150** EMPLOYEES IN DIRECTOR-TRACK PROGRAM	**26,300** EMPLOYEE VOLUNTEER HOURS	**94%** FREELANCERS ATTESTING TO CODE OF CONDUCT

Figures above are illustrative and prepared for demonstration purposes; they do not represent actual reported results.

People

WORKFORCE, CAREERS & WELL-BEING

Workforce & Careers

FocalPoint employs more than 6,800 communications, creative, and account management professionals across 28 offices nationwide. In fiscal 2025, we expanded professional development programs and introduced new structured career pathways for account coordinators and creative associates advancing into manager and director roles, with more than 1,150 employees completing a director-track development program, up from 1,010 in fiscal 2024.

Spotlight: FocalPoint Forward

Our nine-month rotational development program pairs high-potential account and creative staff with senior mentors across offices. The first cohort of 42 employees completed the program in fiscal 2025, with 90% retained one year later.

Diversity, Equity & Inclusion

We aim to build a workforce and leadership team that reflects the communities and clients we serve. We continued six Employee Resource Groups in fiscal 2025 focused on mentorship, community, and professional development.

REPRESENTATION METRIC	FY2023	FY2024	FY2025
Women, all employees	54%	55%	56%
Women, director-and-above roles	41%	43%	44%
People of color, all employees	41%	43%	45%
People of color, director-and-above roles	32%	34%	36%

Health, Safety & Well-Being

FocalPoint maintains workplace safety standards across all offices and offers mental health resources and wellness programs designed for the demands of client-facing, deadline-driven work, including support for hybrid and remote work arrangements. In fiscal 2025, 81% of employees completed our annual well-being training module, up from 74% in fiscal 2024.

Total Rewards

We offer access to healthcare benefits, retirement savings programs, and an employee assistance program to eligible team members, along with tuition assistance for continuing education and professional certification.

People Goals

GOAL	TARGET YEAR	FY2025 STATUS
Reach 48% women in director-and-above roles	2028	On track (44%)
100% of employees complete annual well-being training	2027	In progress (81%)

Planet

OFFICES, TRAVEL & DIGITAL OPERATIONS

Office Energy & Emissions

FocalPoint continues to invest in energy-efficient office space and has moved 62% of its office locations to renewable energy contracts as part of our ongoing effort to reduce our operational footprint. Estimated greenhouse gas emissions (metric tons CO2e) are shown below.

EMISSIONS CATEGORY	FY2023	FY2024	FY2025
Scope 1 (direct)	1,850	1,720	1,540
Scope 2 (purchased energy)	9,200	8,100	6,900
Scope 3 (business travel & purchased goods, estimated)	42,000	39,500	36,800

Scope 3 estimates cover business travel and purchased goods and services and are calculated using industry average emission factors; figures are illustrative and prepared for demonstration purposes.

Digital Operations & E-Waste

As a firm built on digital and creative work, we prioritize paperless workflows and cloud infrastructure efficiency, and we partner with certified vendors for responsible recycling of retired office technology and equipment. In fiscal 2025, we recycled or responsibly disposed of 96% of retired office hardware through certified e-waste partners.

Spotlight: Production Sustainability Checklist

Our Chicago office piloted a Production Sustainability Checklist for client shoots and activations in fiscal 2025, reducing single-use materials and disposable signage at pilot events by an estimated 30%. We plan to expand the checklist to five additional offices in fiscal 2026.

Vendor & Production Standards

We work with production and event vendors to advance more sustainable practices for client shoots, activations, and printed materials, and we periodically review preferred-vendor sustainability criteria as part of our procurement process.

Planet Goals

GOAL	TARGET YEAR	FY2025 STATUS
80% of offices on renewable energy contracts	2027	On track (62%)
Reduce Scope 1+2 emissions 30% from FY2023 baseline	2030	On track (-24%)

Craft

CONTENT INTEGRITY, AI & ACCESSIBILITY

Content Accuracy & Disclosure

FocalPoint requires all client-facing content to meet our internal accuracy and sourcing standards, including clear labeling of sponsored or paid content in accordance with applicable disclosure requirements.

Responsible Use of AI in Creative & Content Production

We maintain internal guidelines requiring human review of AI-assisted content and disclosure to clients where AI tools are used in deliverables. In fiscal 2025, 98% of AI-assisted deliverables were reviewed by a human editor prior to client delivery, and we established an AI Assist Review Board to evaluate new generative AI tools before they are approved for use on client work.

Spotlight: AI Assist Review Board

Launched in fiscal 2025, the Review Board evaluates new generative AI tools against our content standards, data handling requirements, and client disclosure policy before approving them for use, and publishes a quarterly transparency memo to account teams on approved tools and known limitations.

Accessibility & Inclusive Communications

We aim to produce communications that are accessible to the broadest possible audience, including plain-language and ADA-accessible formatting guidance for client-facing content, and we continue to evaluate opportunities to expand accessibility practices across our creative work.

Client Data Stewardship

Campaign and audience data shared with us by clients is handled under our data governance standards, described further in the Governance section of this report.

Craft Goals

GOAL	TARGET YEAR	FY2025 STATUS
100% of AI-assisted deliverables reviewed by a human editor	2026	On track (98%)

Community

PRO BONO WORK, MEDIA LITERACY & GIVING

FocalPoint Foundation

The FocalPoint Foundation delivered $3.8 million in pro bono communications support and community campaigns during fiscal 2025, partnering with nonprofit organizations in more than 40 markets where FocalPoint operates, up from $3.4 million in fiscal 2024.

Media Literacy & Local Engagement

FocalPoint offices support local media literacy programming and provide crisis and issues communications support to community organizations during disaster relief efforts in affected markets.

Spotlight: Media Literacy Coalition Partnership

FocalPoint partnered with a regional nonprofit media literacy coalition to train 3,200 high school students in fiscal 2025 on identifying misinformation and evaluating sources, more than double the number reached in fiscal 2024.

Volunteerism

FocalPoint supports employee volunteer efforts through periodic company-organized community service events at our corporate offices and select markets.

METRIC	FY2023	FY2024	FY2025
Employee volunteer hours	18,400	21,900	26,300
Volunteer participation rate	38%	44%	51%

Community Goals

GOAL	TARGET YEAR	FY2025 STATUS
Deliver $5M annually in pro bono communications value	2027	On track ($3.8M)

Governance

ETHICS, PRIVACY & OVERSIGHT

Board Oversight of Corporate Responsibility

The Board of Directors receives periodic updates on corporate responsibility strategy and performance, including workforce, environmental, and community initiatives, as part of its broader risk oversight responsibilities.

Ethics & Compliance

All employees are subject to our Code of Business Conduct and Ethics, and FocalPoint maintains a confidential reporting channel for raising concerns about potential violations. In fiscal 2025, 99% of employees completed annual Code of Conduct training.

Data Privacy & Security

FocalPoint maintains information security programs designed to protect client campaign data and employee data, including access controls, employee training, and incident response protocols. In fiscal 2025, 97% of staff completed data privacy and AI ethics training.

Freelancer & Partner Standards

FocalPoint works with a network of freelance creative and communications talent to supplement our full-time workforce. Our Freelancer Code of Conduct sets expectations for fair payment terms and ethical business conduct.

Spotlight: Faster Freelancer Payment Guarantee

In fiscal 2025 we rolled out a refreshed Freelancer Code of Conduct with a 30-day payment guarantee for freelance creative talent, cutting median freelancer payment time by 40% and lifting Code of Conduct attestation to 94%, up from 88% in fiscal 2024.

Enterprise Risk Management

Corporate responsibility risks, including data security, AI governance, and workforce matters, are incorporated into FocalPoint's enterprise risk management framework and reviewed by the Audit Committee and full Board at least quarterly.

Governance Goals

GOAL	TARGET YEAR	FY2025 STATUS
100% freelancer Code of Conduct attestation	2026	In progress (94%)

Goals & Targets Summary

PILLAR	GOAL	TARGET YEAR	FY2025 STATUS
People	Reach 48% women in director-and-above roles	2028	On track (44%)
People	100% of employees complete annual well-being training	2027	In progress (81%)
Planet	80% of offices on renewable energy contracts	2027	On track (62%)
Planet	Reduce Scope 1+2 emissions 30% from FY2023 baseline	2030	On track (-24%)
Craft	100% of AI-assisted deliverables reviewed by a human editor	2026	On track (98%)
Community	Deliver $5M annually in pro bono communications value	2027	On track ($3.8M)
Governance	100% freelancer Code of Conduct attestation	2026	In progress (94%)

UN Sustainable Development Goals Alignment

FocalPoint has identified the United Nations Sustainable Development Goals most relevant to our business and mapped our programs accordingly.

SDG	HOW FOCALPOINT CONTRIBUTES
SDG 4 — Quality Education	Media literacy programming reaching thousands of students annually
SDG 5 — Gender Equality	DEI programs and representation targets for director-and-above roles
SDG 8 — Decent Work & Economic Growth	Career pathways for employees and fair-payment standards for freelance talent
SDG 12 — Responsible Consumption & Production	Certified e-waste recycling and sustainable production vendor standards
SDG 13 — Climate Action	Renewable energy procurement and Scope 1+2 emissions reduction targets
SDG 16 — Peace, Justice & Strong Institutions	Content integrity standards, ethics training, and anti-corruption policy
SDG 17 — Partnerships for the Goals	FocalPoint Foundation partnerships with nonprofit organizations nationwide

Performance Data Summary

METRIC	FY2023	FY2024	FY2025
Pro bono & community campaign value	$3.1M	$3.4M	$3.8M
Offices on renewable energy contracts	48%	55%	62%
Scope 1+2 emissions (metric tons CO_2e)	11,050	9,820	8,440
Staff completing data privacy & AI ethics training	89%	93%	97%
Women in director-and-above roles	41%	43%	44%
People of color in director-and-above roles	32%	34%	36%
Employees completing director-track development program	890	1,010	1,150
Employee volunteer hours	18,400	21,900	26,300
Freelancers attesting to Code of Conduct	82%	88%	94%
Retired hardware responsibly recycled	88%	92%	96%

Figures above are illustrative and prepared for demonstration purposes on the BetaNXT Issuer Portal and do not represent actual reported results.

GRI Content Index

This report has been prepared with reference to the GRI Standards.

GRI STANDARD	DISCLOSURE	LOCATION IN THIS REPORT
GRI 2	General Disclosures	FocalPoint at a Glance; Governance
GRI 3	Material Topics	Materiality Assessment
GRI 2-29	Approach to Stakeholder Engagement	Stakeholder Engagement
GRI 205	Anti-Corruption	Governance — Ethics & Compliance
GRI 302	Energy	Planet — Office Energy & Emissions
GRI 305	Emissions	Planet — Office Energy & Emissions
GRI 306	Waste	Planet — Digital Operations & E-Waste
GRI 401	Employment	People — Workforce & Careers
GRI 404	Training & Education	People — Workforce & Careers
GRI 405	Diversity & Equal Opportunity	People — Diversity, Equity & Inclusion
GRI 413	Local Communities	Community
GRI 418	Customer Privacy	Governance — Data Privacy & Security

About This Report

This Corporate Responsibility Report covers FocalPoint, Inc.'s fiscal year 2025 (ended December 28, 2025) unless otherwise noted. Data throughout this report has not been externally assured. This report is a sample document produced for demonstration purposes on the BetaNXT Issuer Portal and does not represent an actual FocalPoint corporate responsibility filing.

Awards & Recognition

Fiscal 2025 recognition included a placement on a national "Best Places to Work in Communications" list and a regional Chamber of Commerce award for community partnership, both illustrative examples prepared for demonstration purposes.

FocalPoint

VOTING MATERIALS

Proxy Card

FocalPoint, Inc. (Nasdaq: FOC) — 2026 Annual Meeting of Stockholders

MEETING DATE
May 14, 2026

VOTING DEADLINE
May 12, 2026, 11:59 PM ET

PREPARED FOR
BetaNXT, Inc.

Proxy Card — 2026 Annual Meeting

This proxy is solicited on behalf of the Board of Directors of FocalPoint, Inc. for the Annual Meeting of Stockholders to be held virtually on May 14, 2026, at 10:00 AM Eastern Time. The undersigned hereby appoints the named proxies, with full power of substitution, to vote all shares of FocalPoint common stock held of record by the undersigned as of the record date, March 16, 2026.

Items to Be Voted On

1	Election of Directors	FOR ☐	AGAINST ☐	ABSTAIN ☐
2	Ratification of Independent Registered Public Accounting Firm	FOR ☐	AGAINST ☐	ABSTAIN ☐
3	Advisory Vote to Approve Named Executive Officer Compensation	FOR ☐	AGAINST ☐	ABSTAIN ☐
4	Stockholder Proposal Regarding Political Advertising & Lobbying Disclosure	FOR ☐	AGAINST ☐	ABSTAIN ☐
5	Stockholder Proposal Regarding Responsible Use of AI in Content & Creative Production	FOR ☐	AGAINST ☐	ABSTAIN ☐
6	Stockholder Proposal Regarding Diversity in Leadership & Creative Teams	FOR ☐	AGAINST ☐	ABSTAIN ☐

Signature

____

Stockholder Signature

____

Date

How to Vote

Online: focalpoint.com/vote
Phone: 1-855-555-0198
Mail: Return this card in the enclosed envelope

Voting deadline: May 12, 2026, 11:59 PM ET

This proxy card is a sample document produced for demonstration purposes on the BetaNXT Issuer Portal and is not a solicitation of an actual vote.